HIC CAPITAL

The Investment Fund

at the University of St. Gallen.

CONRAD

Industries, Inc.

Target Price (Upside):	USD 31.60
Current Price:	USD 22.6
Upside Potential:	39.8%
Time Horizon:	5-7 years
Recommendation:	**Buy**

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Team

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4th Semester

- Pitch Coordination
- Equity Story Development

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Analyst
2nd Semester

- Company Overview
- Executive Summary
- Investment Thesis

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- Investment Thesis

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- Industry Overview
- Financial Analysis

Overview

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Executive Summary

Company Snapshot

Conrad Combines Protected Niche Exposure with Conservative Owner-Led Execution

Business model & regional footprint

- **Business model:** Asset-heavy, project-based shipbuilding model focused on newbuild, repair and conversion work.
- **Commercial model**: Fixed-price contracts convert backlog into revenue through project progress and milestone payments.
- **Channels & end markets**: Protected U.S. marine markets, mainly inland barges, tank barges, tugs, dredging and government vessels.
- **Management**: Led by CEO **Cecil A. Hernandez**, focused on execution, yard utilization and liquidity discipline.

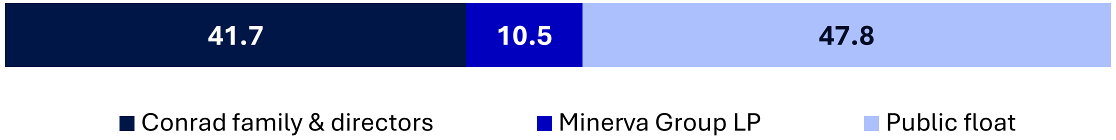
Founded
1948

HQ
Morgan City, Louisiana, U.S.

Employees
394

Locations
5 Yards

Shareholder Structure



TAKE AWAY

- Conrad/Court family & directors hold 41.7% - entrenched insider control means a change-of-control needs family alignment, not just an open-market bid
- Minerva Group LP is the only outside >5% holder at 10.5% - single block worth tracking for any activist or roll-up thesis
- 48% public float on OTC (CNRD) - adequate for stake-building below 5% disclosure threshold but no institutional anchor

Historic Development

1. **1948** Founded by Parker Conrad as Louisiana shipyard focused on vessel construction and repair
2. **1996** Acquired Orange Shipbuilding for $22.8m, expanding new-build capacity and capabilities
3. **1998** IPO at the Nasdaq to get more liquidity to expand, founder family retained majority
4. **2003** Acquired Deepwater and aluminum-focused Amelia facilities, adding capabilities
5. **2005** Voluntarily delisted after falling below 300 holders of record, reducing public reporting burden
6. **2012** Expanded Deepwater South and added automated panel-line, supporting larger vessels
7. **2018** Delivered the first LNG barge in the U.S., building LNG know-how and establishing brand
8. **2024** U.S. Navy YRBM awards increased government exposure backlog

Notes:

Sources: Conrad Industries annual report 2025

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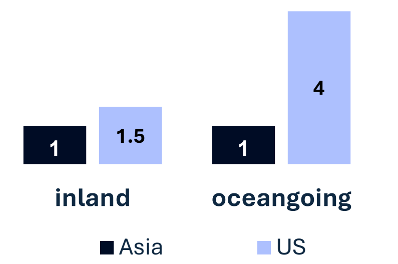
CONRAD Industries, Inc.

Industry Snapshot

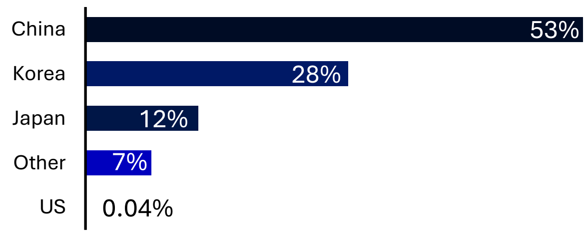
Capture Resilient Growth Through Protected U.S. Shipbuilding Market Dynamics

Global Shipbuilding is an Asian Oligopoly

Relative Production Costs



Market Share by Region



U.S. shipyards face a severe structural cost disadvantage: vessels cost roughly **1.5–4.0x** more than foreign alternatives, leaving the U.S. with only **0.04%** of global shipbuilding output

Jones Act Creates a Protected U.S. Domestic Market

Strategic Rationale

Protects US maritime **independence**, national security readiness and **domestic** shipbuilding capacity

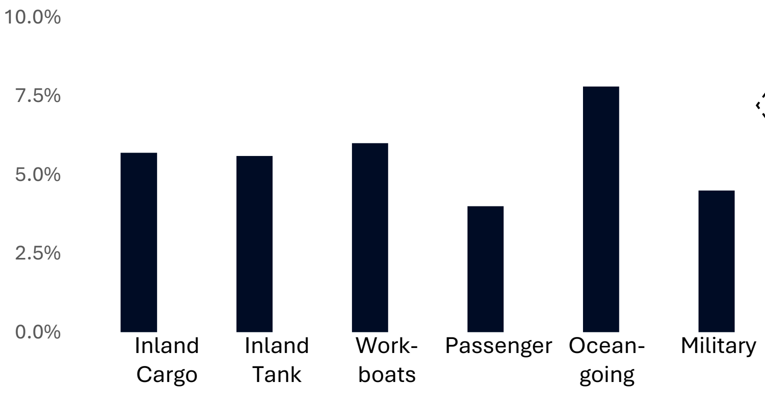
Legal Mechanism

US domestic waterborne trade requires vessels to be **US-built, owned, flagged and crewed**

Market Effect

Supports a protected fleet of **40–45k vessels,** despite U.S.-built ships costing around **~1.5x-4.0x** foreign alternatives

Expected Compounded Annual Growth Rate of Different Types of Vessels



- Mid-single-digit growth through 2030
- Broad demand across barges and tugs
- Specialized vessels lead growth
- Supported by protected US shipbuilding demand

Notes:

Economic and Structural Constraints on New Shipyard Construction

There are currently 154 active U.S. shipyards, yet no major new shipyards have been built over the past decade due to following factors:

Price

US shipyards struggle to compete with lower global costs

Labor

Skilled maritime labor is scarce due to worker mobility

Geography

Shipyards lack coastal space and nearby industrial clusters

US shipyards already operate near maximum capacity, constrained by skilled labor shortages, fragile supply chains, and massive production backlogs.

Sources: Conrad Industries Annual Reports FY2016–FY2025

Business Economics Snapshot

Dominating a Protected Niche While Scaling Profitable Growth

Business Segments and Product Offering

Operating Segments | End Markets

Construction (92%)

Newbuilds of small-to-mid-sized specialty vessels

Repair & Conversion (8%)

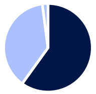
Repair of the same types of ships Conrad builds

Workboats

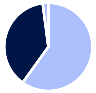
Navy YRBM barges

Tank barges

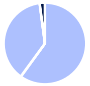
Commercial



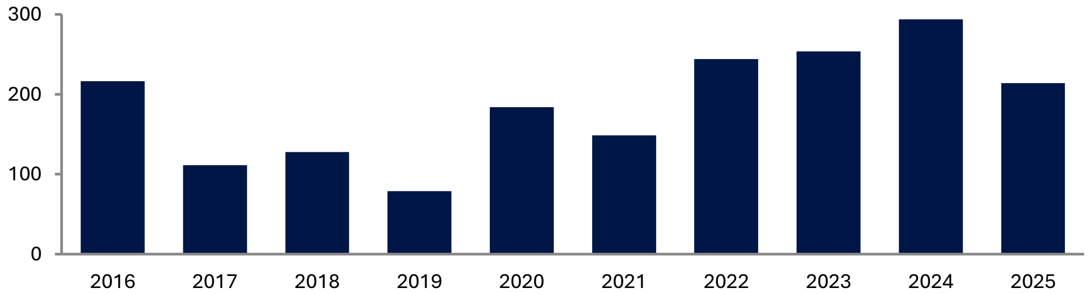
Government



Energy



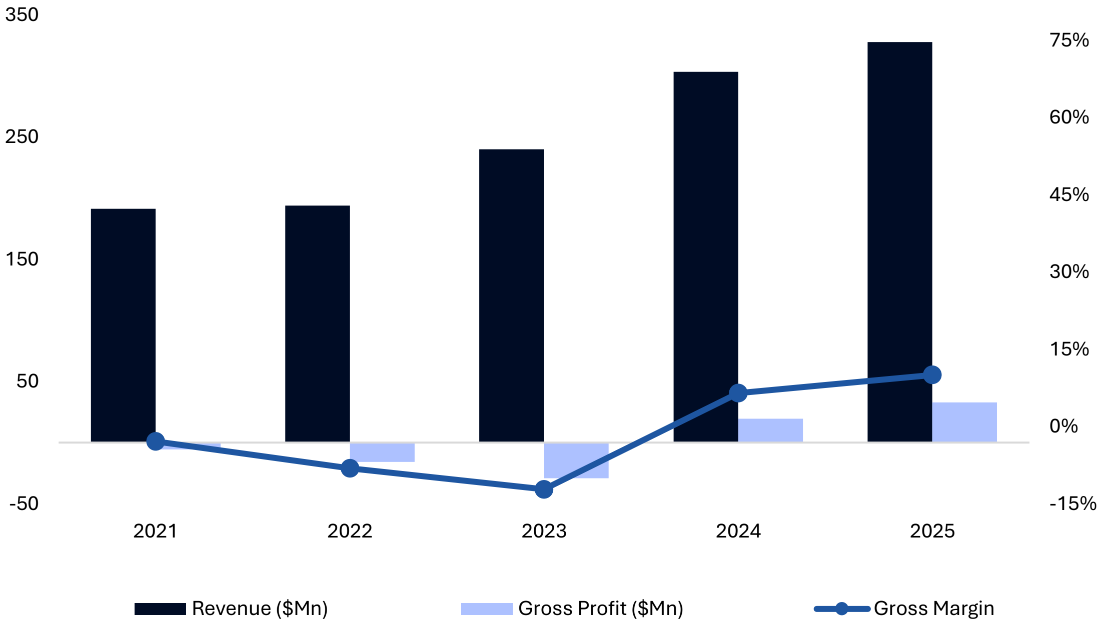
Backlog Development ($Mn)



Key takeaway: Backlog recovered strongly after the FY19 trough, reaching a peak in FY24. Although FY25 declined from that peak, it remains well above pre-FY20 levels, supporting solid near-term revenue visibility.

Notes: Growth rates are market CAGR proxies, not company guidance

Financial Overview ($Mn)



Key Takeaways

- Revenue increase of 71% from 2021 to 2025, reaching $328m
- Loss period driven by fixed-price contracts, inflation and execution issues
- Profitability recovered in 2024 – 2025
- Gross margin stabilized at 10% in 2025

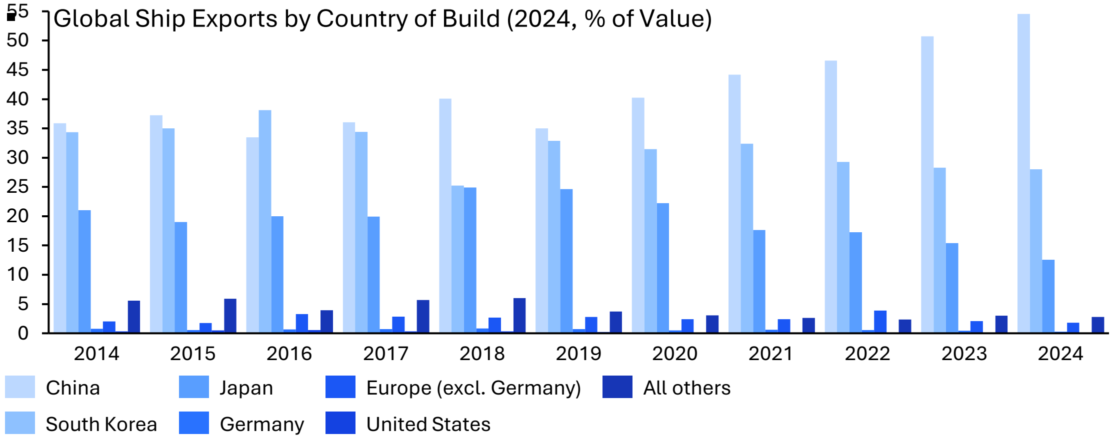
Sources: Conrad Industries Annual Reports FY2016–FY2025; Market.us; GlobeNewswire; Fortune Business Insights; CBO Navy 2025 Shipbuilding Plan

Industry Overview

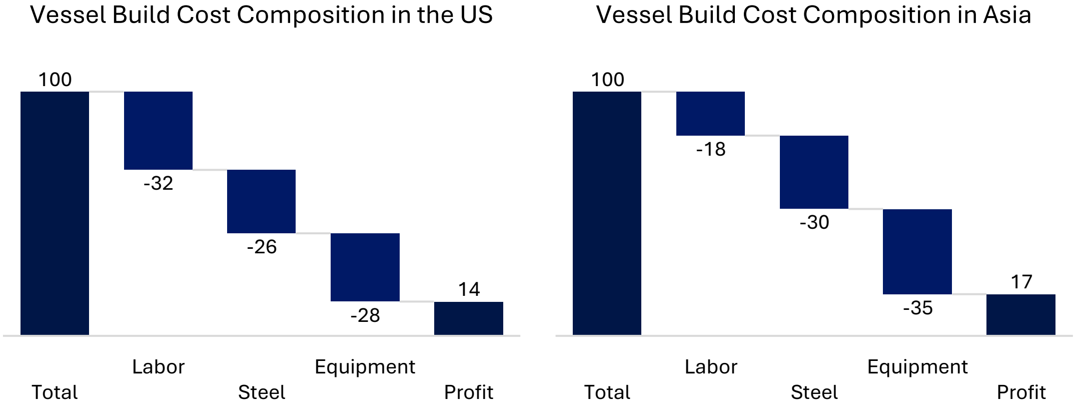
US Shipbuilding Market

The Jones Act converts US shipbuilding's global cost disadvantage into Conrad's protected domestic franchise

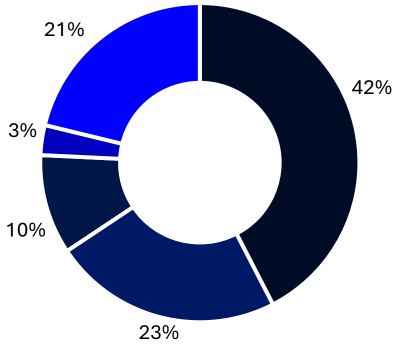
Global Market Share by Country (2014–2024)



Vessel Build Cost Composition: US vs. Asia (%, illustrative)



Global Ship Exports by Country of Build (2024, % of Value)



Key Takeaways

- Top 3 Asian builders account for 75% of exports
- The US are not a competitor in global commercial shipbuilding (<0.1% global exports)
- Asian dominance trend is accelerating, not reversing

Key Takeaways

- **Steel as the margin lever**: Steel is 26–30% of build cost in both regions → 2025 tariffs hit US margins directly
- **Labor = U.S. premium**: U.S. labor is 32% of cost vs. Asia's 18%. Jones Act keeps U.S. yards shielded from this disadvantage at home
- **Protected Pricing:** Conrad's customers cannot legally buy the cheaper Asian boats → domestic-build mandate locks in the U.S. cost structure

Notes:

Sources: Clarksons Research, USTR, US ONI, CSIS, CRS, Econofact, Holland & Knight

The Jones Act: A 105-Year Regulatory Fortress

Cabotage Protection Creates a Closed Market – Without It, U.S. Commercial Shipbuilding Ceases to Exist

The Rationale Behind the Jones Act

National defense & sealift capacity:
Maintains US-built, US-crewed fleet that can be mobilized in war or national emergency, avoiding WWI-style scramble to build ships from scratch

Industrial base preservation:
Sustains shipyards, repair facilities, and the supplier ecosystem needed to support the Navy and respond to surge demand

Skilled maritime workforce:
Supports 650,000 American jobs and a pipeline of welders, naval engineers, and merchant mariners - capabilities that take decades to rebuild once lost

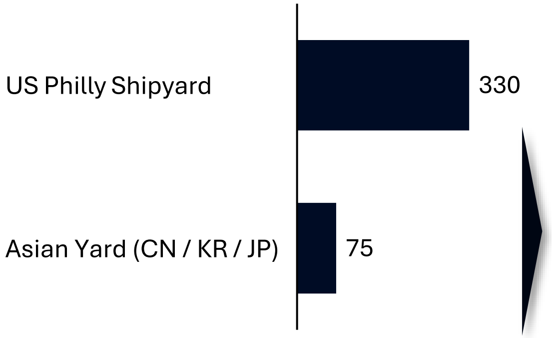
What the Jones Act Implies

If one wants to ship cargo between two U.S. ports, one has to meet four requirements:

1. The crew has to be min. 75% US American
2. The vessel has to be built in the U.S
3. The vessel has to be flagged under the U.S.-American flag
4. The vessel has to be min. 75% owned by a U.S. company /citizens

...Then it is eligible to operate in the U.S. domestic market

Rising Costs and Market Inefficiencies Drive Growing Criticism of the Jones Act



US-built costs 4-5x foreign built

Critics of the Act

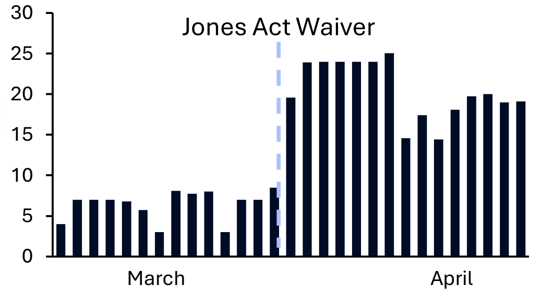
Higher consumer costs: US-built ships cost 4–5× foreign equivalents; Jones Act shipping rates run ~2× non-Jones rates

Burden on island territories: Puerto Rico bears ~$1.4bn annual welfare loss, equal to a 30.6% effective tariff on U.S. shipments

Reduced competition & innovation: Closed market with ~154 active yards limits competitive pressure and slows fleet modernization

Waiver inconsistency: Emergency waivers (2017, 2022, 2026) signal protection can be suspended when politically convenient

Probability of Jones Act being repealed before 2027 (Kalshi)



Notes:

Sources: CRS, American Maritime Partnership / PwC, Econofact, Cato Institute, Hudson Institute, Seafarers Rights International, Kalshi

Conrad's Two Growth Engines: Autonomous Vessels & Workboats

Distinct Customer Base and Vessel Types, but Converge to a Single Thesis: High-Growth, Jones-Act-Protected Demand

Autonomous Vessels

Customers

- U.S. Navy
- USCG
- Defense-tech primes (Saronic, Blue Water Autonomy)
- DoD OSC

Vessels

i US Navy, USCG, defense-tech primes (Saronic, Blue Water Autonomy), DoD OSC

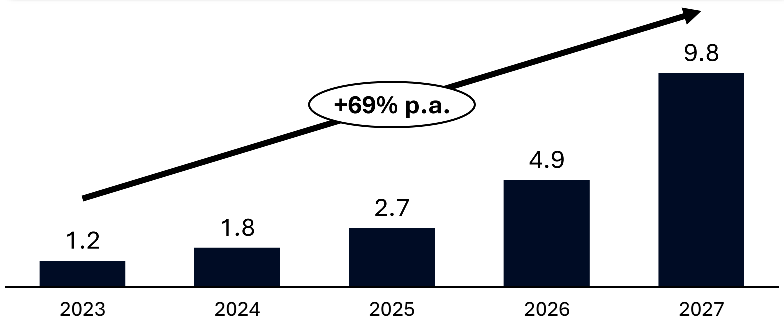
- Landing Ship Medium
- YRBM
- MUSV
- LUSV

Economics

- **Cost-plus & fixed-price** mix
- **Multi-year** DoD contracts
- **Higher margin** as serial production scales (10–20 ships/yr)

Market Development

U.S. Navy unmanned-systems budget (historical & projected in $Bn)



Workboats & Naval Auxiliary

Customers

- Inland barge operators
- GoM OSV operators
- Ferry authorities
- Dredgers
- USCG

Vessels

i Steel and aluminum hulls $6–18Mn / unit, 6–18 month build cycles

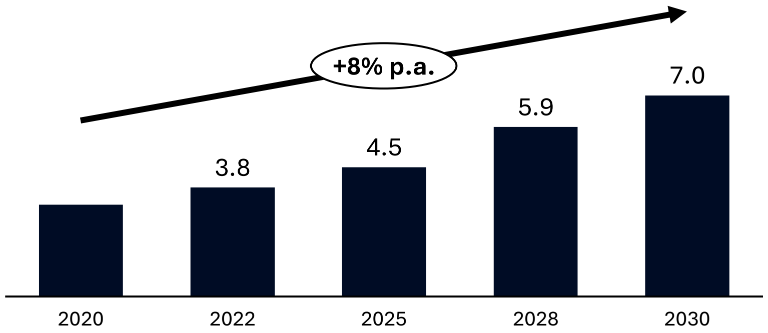
- Tank barges
- Push boats
- OSVs
- Ferries

Economics

- **Fixed-price** with milestone payments
- **Mid gross margin** (commercial 60% of revenue)
- **Recurring repair/lifecycle** revenue stream

Market Development

U.S. workboat & OSV market (historical and projected in $Bn)



Notes: GoM OSV: Gulf of Mexico Offshore Support Vessel, USCG: United States Coast Guard, YRBM: Yard Repair Barthing and Messing, MUSV/LUSV: Medium / Large Unmanned Surface Vessel, OSV: Offshore Support Vessel

Sources: Fortune Business Insights, Mordor Intelligence, MarketsandMarkets, Fact.MR, CRS, USNI News

Demand Drivers

Accelerating US Maritime Growth: Bridging Strategic Demand with Policy Catalysts

Demand Drivers

Naval Surge
FY26 budget + unmanned + LSM

- Fleet: 293 today → 381 manned + 134 unmanned goal
- SECNAV Phelan: FY27 could "more than double FY26's 19 ships"
- LSM program: $1.8Bn for 8 ships, Gulf-Coast buildable

Jones Act Fleet Replacement
Aging domestic fleet + offshore wind

- 1/3 of the current oceangoing Jones Act fleet is >21 years old
- Gulf-of-Mexico OSV fleet aging

LNG Bunkering & Specialty
IMO 2050 + Samsung partnership

- U.S. LNG bunkering: $352Mn (2024) → $654Mn (2030)
- Samsung HI MOU with Conrad (Dec 2025) = direct entry
- 55.7Mn CGT of alt-fuel orders globally in 2024 (+18 YoY)

Autonomous Vessels
MUSV/LUSV programs scaling

- Conrad x Blue Water Autonomy: Liberty Class serial production
- Navy MUSV/LUSV candidates: Conrad/Blue Water, HII, Saronic
- Saronic committed $2.5+ Bn to "Port Alpha" in Louisiana

Policy Drivers

SHIPS for America Act

- 25% investment tax credit for shipyard capex
- Maritime Prosperity Zones
- Self-funded via USTR Section 301 China fees
- Mandates 15% of LNG exports / 10% of crude on US-built by 2035

Maritime Action Plan EO 14269

- Maritime Security Trust Fund established
- Section 301 China port fees: $50→$140/NT by 2028
- Maritime Prosperity Zones to catalyze shipbuilding investment established

MASGA

- $150bn pledged for US shipbuilding cooperation
- Hanwha acquired Philly Shipyard ($100Mn) → $5Bn modernization
- Target: Philly from <2 to 20 ships/year long-term
- Samsung HI × Conrad MOU (Dec 2025) – LNG bunkering

Contract Winning

Navy / NAVSEA and USACE / Coast Guard: Formal competition once, then sole-source modifications: NAVSEA posts a solicitation on SAM.gov. Qualified shipyards submit proposals. NAVSEA evaluates and awards firm-fixed-price contract with options.

Commercial and defense-tech: Contracts are won by direct relationship, no public bid. Customers issue a RFQ to a short list of yards (often just one) based on prior relationship and yard specialization.

Notes: SECNAV: Secretary Department of the Navy, HII: Huntington Ingalls Industries, USTR: Office of the United States Trade Trade Representative, NT: net tonnage, NAVSEA: Naval Sa Systems Command

Sources: CRS, USNI News, Breaking Defense, MARAD, Grand View Research, Coherent Market Insights, Marine Log, LNG Industry, Maritime Executive, PR Newswire, Congress.gov, White House, USTR, Bisi, Hanwha

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M&A Activity and Future Trends

Defense-Tech Buyers are Paying Premiums for Gulf Coast Yards, While a 250,000 Worker Shortfall Hands Pricing Power to Incumbents

Recent M&A Activity

Hanwa
Acquired
Philly Shipyard

- $100Mn acquisition + $5Bn modernization commitment
- Target: lift Philly from 2 ships/year to 20 ships/year
- Adjacent segment (Jones Act)

Saronic
Acquired
Gulf Craft

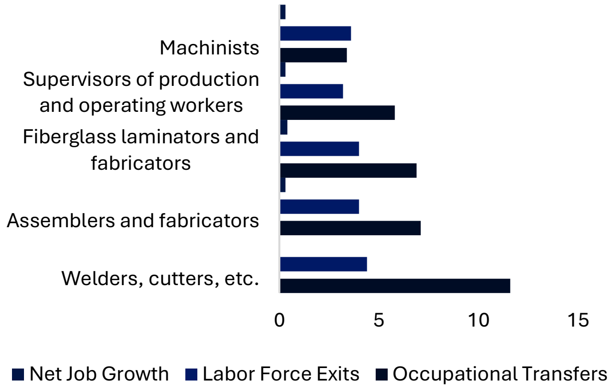
- Saronic committed $250Mn direct investment + $300Mn for expansion
- Same Louisiana labor pool Conrad draws from

NASSCO & Conrad
Formed MOU with
Samsung HI

- Joint pursuit of US LNG bunkering market
- Samsung brings orderbook, Conrad Jones Act compliance
- Partnership rather than

Defense-tech buyers are paying transformational premiums for Gulf-Coast capacity.

Range of Additional US Maritime Workers Required (2023-2033, thousands)



The U.S. needs 250,000 skilled maritime workers over the next 10 years

Capacity expansion is therefore labor-, not capital-constrained

Pricing power flows to incumbents with established workforce

Future Trends

1. Autonomous Vessels

- U.S. autonomous market growing +23% p.a.
- Saronic Series D (Mar 26): $1.75Bn raised at $9.25Bn valuation
- Conrad x Blue Water Liberty Class: serial production starts March 2026, targeting 10-20 vessels/year
- $4.9Bn FY26 Navy reconciliation for unmanned vessels alone

2. Alternative Fuel Vessel Orderbook Shift

- 55.7Mn CGT of alt fuel vessel orders placed globally in 2024 (+18% YoY) → fleet being re-engined, not just replaced
- U.S. LNG bunkering market: $352Mn in 2024 → $654Mn in 2030; global market grows with 30% CAGR to $14Bn
- IMO 2050 net-zero target is a structural driver

3. Korean Tech Transfer

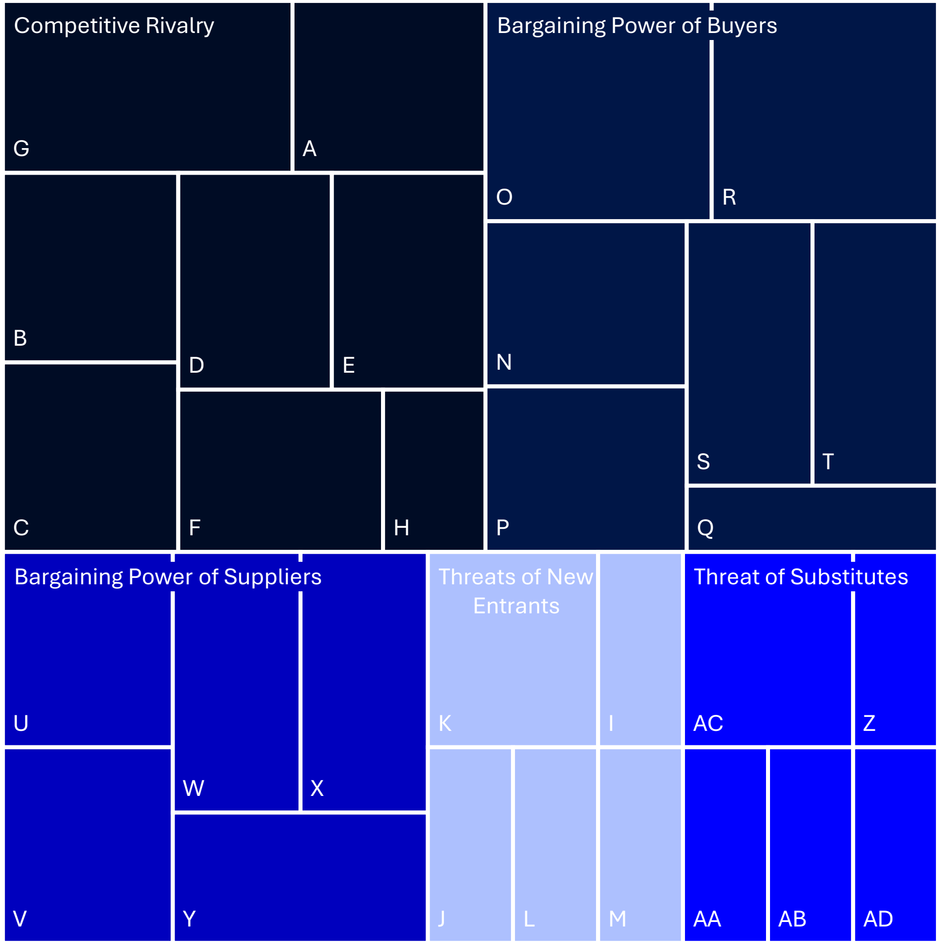
- MASGA framework: $150Bn committed to U.S. shipbuilding cooperation
- Korean partners bring LNG and large-vessel IP, no US yard could build alone → opens higher margin specialty work
- Sets a template for U.S.-Korean joint pursuit of specialty work

Notes: CGT: Compensated Gross tonnage, IMO: International Maritime Organization

Sources: McKinsey, BLS, American Welding Society, White House, Clarksons Research, Grand View Research, CNBC, Hanwha, Inside Unmanned Systems, Energy Reporters

Porter‘s Five Forces

Navigating High-Stakes Rivalry: How Asset Illiquidity and Customer Concentration Shape the Market



Competitive Rivalry
- A: Number of Competitors
- B: Diversity of Competitors
- C: Industry Concentration
- D: Industry Growth
- E: Quality Differences
- F: Brand Loyalty
- G: Barriers to Exit
- H: Switching Costs

Threats of New Entrants
- I: Barriers to Entry
- J: Economies of Scale
- K: Brand Loyalty
- L: Capital Requirements
- M: Cumulative Experience

Bargaining Power of Buyers
- N: Number of Customers
- O: Size of Each Customer Order
- P: Difference between competitors
- Q: Switching Costs
- R: Price Sensitivity
- S: Buyers Ability to Substitute
- T: Buyers Information Ability

Bargaining Power of Suppliers
- U: Number of Suppliers
- V: Size of Suppliers
- W: Uniqueness of Supplier's Product
- X: Focal Company's ability to substitute
- Y: Switching Costs

Threat of Substitution
- Z: Number of Substitute Products Available
- AA: Buyers Propensity to Substitute
- AB: Relative Price Performance of Substitute
- AC: Perceived Level of Product Product Differentiation
- AD: Switchting Costs

G
- Specialized, illiquid assets
- Government and Jones Act obligations

O
- Individual contracts are huge relative to revenue
- Costumer concentration

R
- Jones Act premium is visible
- Vessels are largely commercialized within class

Notes:

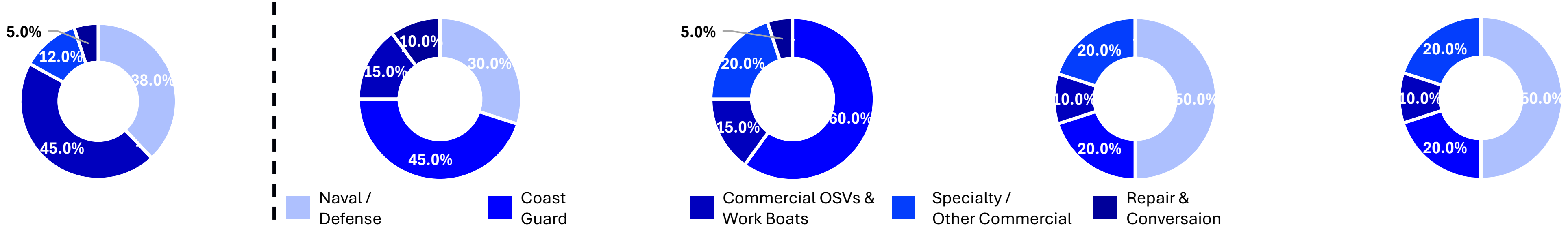
Sources: Conrad Industries, J.P. Morgan

Competitor Analysis

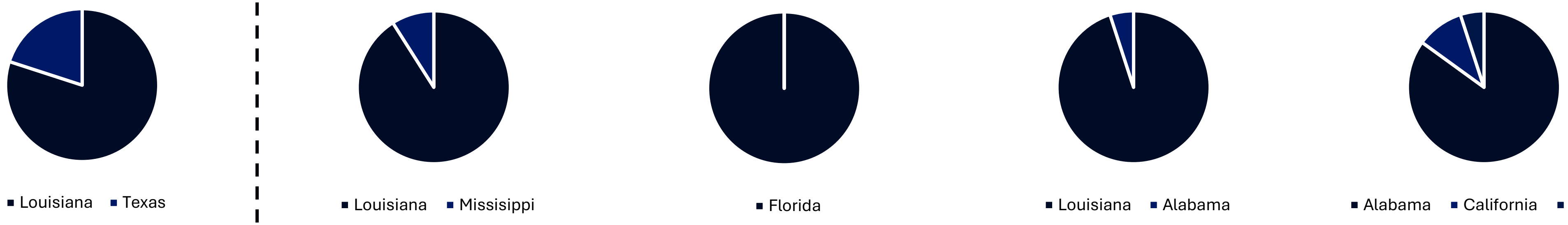
Conrad Maintains a Diversified Product Portfolio and Strong Double-Digit Growth Relative to Larger Regional Peers

Conrad Industries | Bollinger Shipyards | Eastern Shipbuilding Group | Metal Shark | Austal USA

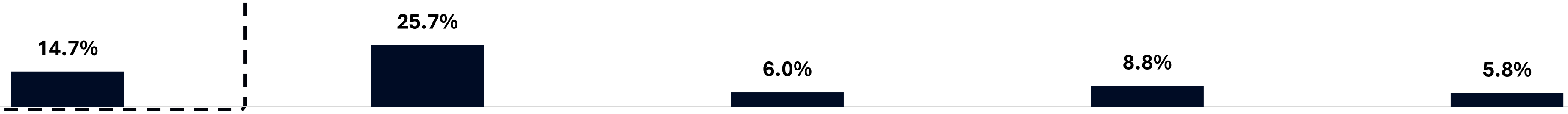
Product Portfolio



Geographic Footprint



	Conrad Industries	Bollinger Shipyards	Eastern Shipbuilding Group	Metal Shark	Austal USA
FTE	***394***	***4000***	***1500***	***500***	***3400***
Revenue Growth[1]	**14.7%**	**25.7%**	**6.0%**	**8.8%**	**5.8%**



Notes: (1) Average Revenue growth between 2021-2025, FTE: Full-time equivalents

Sources: Pitchbook & Bloomberg

US Steel Market Analysis

Steel Tariffs Establish a Structurally Higher Cost Base for U.S. Shipbuilders

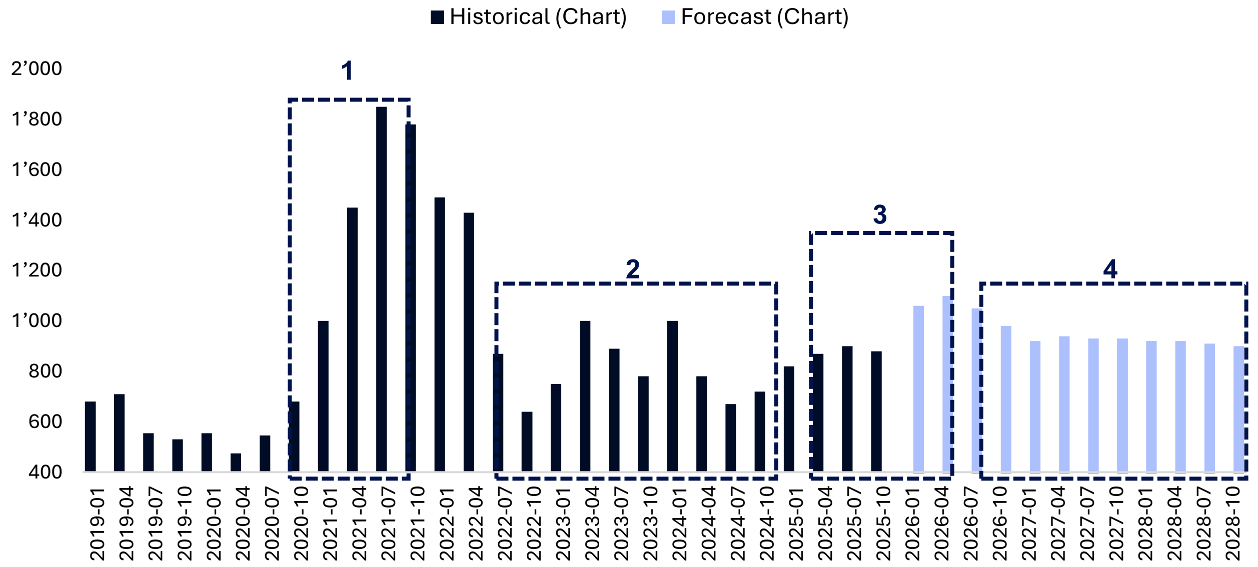
1
- Record ~$1,850/st in 2021
- Driven by post-pandemic demand + mill bottlenecks + import tariffs

2
- Prices reset to $640–780/st
- Supply chains eased, U.S. production caught up

3
- Forward peak ~$1,100/st in early 2026
- Pricing in Section 232 doubling (June 2025) + China steel restrictions

4
- Settles at $920–940/st in 2027/28
- Structural "new normal" well above pre-pandemic levels

US Midwest HRC Steel Price: Historical Spot & Futures Forecast (2019–2028)



Commentary

Aggressive Tariff Regime:
- Section 232 tariffs doubled to 50%, alongside 25% duties on Chinese steel
- Policies decouple US domestic steel from cheaper global benchmarks

Elevated Price Plateau:
- No return to pre-tariff levels ($500–$700/st)
- Futures strip implies a "new normal" of $900–$1,050/st through 2028

Direct Margin Impact:
- Steel is Conrad's primary COGS driver; management explicitly cited new tariffs as a key Q1 2025 headwind
- Structurally high input costs pressure margins, particularly on legacy fixed-price contracts

Possible Strategic Mitigations:
- Options to mitigate rising steel costs when signing new contracts
- Integrate commodity price adjustment clauses into contracts

Notes: Forecast estimated by consensus futures strip, not proprietary model

Sources: Fastmarkets, SteelMarketUpdates, CME, GenSteel, Greenworldwide

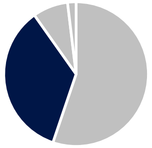
Company Overview

Segment Overview

Diversified End-Market Exposure Balances Cyclicality and Supports Revenue Visibility

Vessel Construction (92.1% of total revenue)

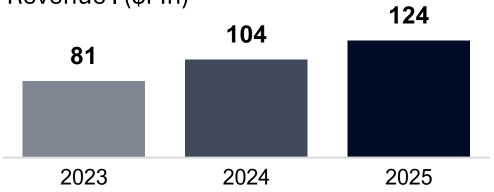
Government
U.S. federal end-market focused on defense and infrastructure vessels, underpinned by multi-year programs



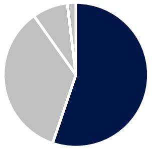
34.7%

- High visibility, contract-driven demand
- Attractive margin profile with limited competition and structural barriers to entry

Revenue I ($Mn)



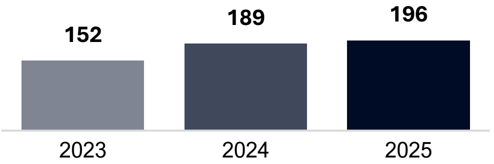
Commercial
Fragmented end-market across inland transport, dredging and industrial logistics applications



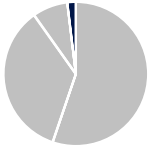
55.2%

- Volume-driven demand with short-cycle, repeatable project flow (6–18 months)
- Diversified exposure across infrastructure and industrial end-markets supports resilience

Revenue II ($Mn)



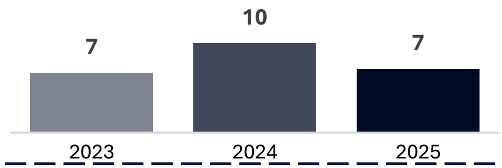
Energy
Offshore oil & gas end-market linked to Gulf of Mexico activity and energy infrastructure investemnt



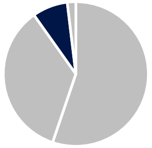
1.2%

- Highly cyclical demand driven by oil prices and offshore CapEx cycles
- Limited forward visibility: participation driven by opportunistic project wins

Revenue III ($Mn)



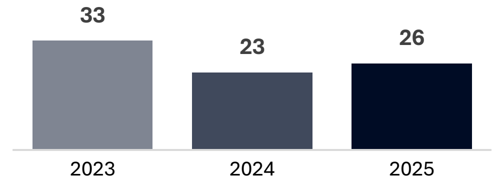
Repair & Conversion Service
Maintenance, retrofitting and vessel conversion services across commercial and government fleets



7.9%

- Recurring revenue from maintenace, repairs and retrofitting
- Supports stable cash flow and yard utilization

Revenue IV ($Mn)



Notes: Segment revenue based on FY2025 Conrad Industries annual report disclosures

Sources: Conrad Industries annual report 2025

Customers: Government (1/3)

Government-Backed Backlog and High Entry Barriers Support Durable Growth

Product & Value Proposition

- Specialized-vessels for US military and federal agencies
- Embedded in BoD supplied base via 11-barge YRBM program
- 79.7% government-backed backlog driving contracted revenues until 2028

Primary Government Vessel Categories

YRBM Barges

- U.S. Navy housing & maintenance support vessels
- Core of YRBM program

Government Barges

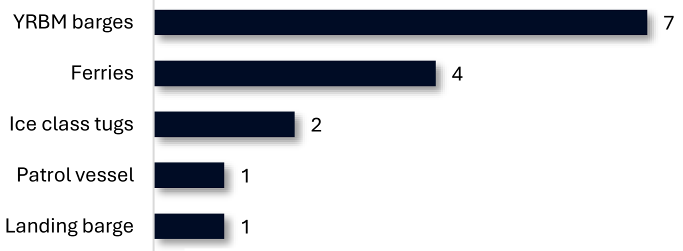
- Used for dredging and marine infrastructure projects
- Supports USACE and federal waterway operations

Ferries

- Built for Puerto Rico transit authorities
- Transport passengers, vehicles and cargo

Segment Positioning

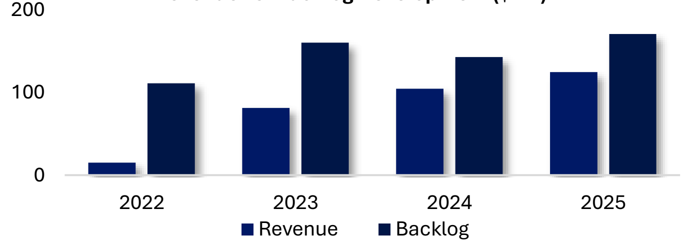
Government Backlog Composition (Vessels)



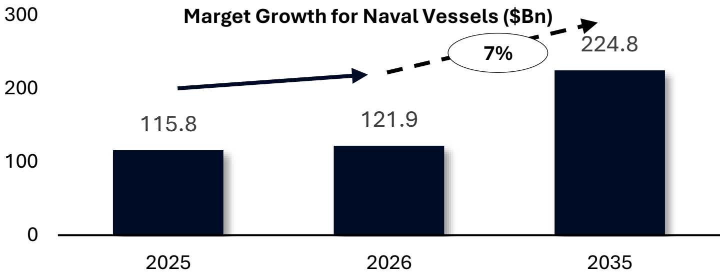
Competitive Position

- Conrad competes with 4–6 US shipbuilders (Bollinger, Eastern, VT Halter)
- Strong track record and established trust with US government agencies
- Moat: Jones Act + strong government relationships + high entry barriers

Revenue vs. Backlog Development ($Mn)



Business Economics and Outlook



Margin Factors	Entry Barriers	Cyclicality
▪ Mission critical vessel demand ▪ High regulatory complexity ▪ Limited qualified suppliers ▪ Specialized engineering capabilities	▪ U.S. Coast Guard & ABS requirements ▪ Government procurement expertise ▪ Jones Act protection ▪ Established government relationship	▪ Budget-dependent procurement cycle ▪ Irregular government order timing ▪ Program delays & funding uncertainty ▪ Customer concentration risk

Outlook

- Likely follow-on YRBM awards beyond 11
- Blue Water Autonomy partnership (defense-tech adjacent)
- Naval modernization spending growing
- USACE infrastructure work

Notes: Government category includes mainly federal infrastructure vessels; Backlog and revenue data sourced from Conrad Industries FY2022–FY2025 annual reports

Sources: Conrad Industries annual report 2025,2024,2023,2022; Global Market Insight

HIC CAPITAL

CONRAD Industries, Inc.

Customers: Commercial (2/3)

Commercial Segment Supported by Diversified Demand and Structural Market Protection

Product & Value Proposition

- Highly fragmented commercial customer base, providing diversified and resilient revenue across multiple end-markets
- Customized solutions for diverse applications such as barges, ferries and tugs
- Short project cycles (6-18 months) support a repeatable, volume-driven business model with steady contract flow

Primary Commercial Vessel Categories

Tank Barges

- Used for Gulf energy infrastructure projects
- Support offshore drilling and maintenance

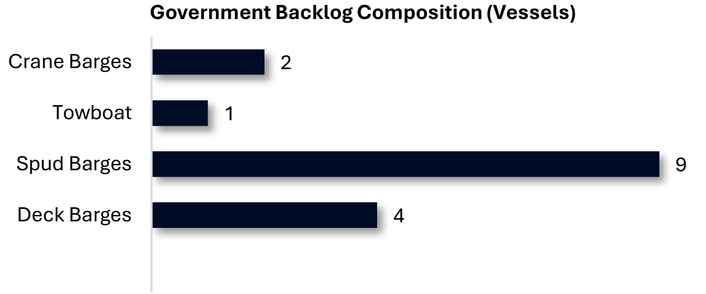
Deck & Spud Barges

- Used for dredging, marine construction and cargo transport
- Supports inland waterway and infrastructure activity

Tugboats

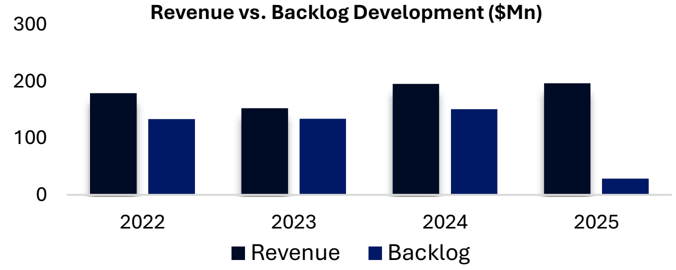
- Built for Puerto Rico transit authorities
- Transport passengers, vehicles and cargo

Segment Positioning

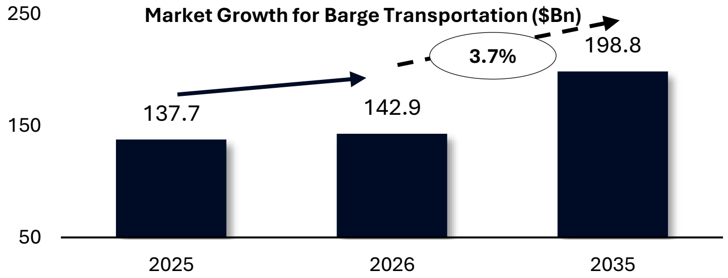


Competitive Position

- Competes with 10-15 US shipyards by price, capacity, service & proximity
- Capacity + Efficiency + strong reputation (Safety Excellence Award 2023 & 2024)
- Moat: Jones Act & Indoor yards → Industry protection & operational advantage



Business Economics and Outlook



Margin Factors	Entry Barriers	Cyclicality
Lower pricing power Competitive customer More commoditized offerings Greater pricing pressure	Broader customer base Higher product diversification Regulatory, safety and certification requirements	Lower customer concentration Less dependent on government budget More diversified end-market exposure Relatively lower earnings volatility

Outlook

- Low commercial backlog (13.4%) vs. current revenue (59.9%) implies reduced visibility and contribution in 2026
- Aging fleet, replacement needs & evolving vessel requirements support medium-term commercial recovery

Notes: Barge transportation market growth is supported by inland infrastructure activity, replacement demand, and stable US waterborne freight transportation trends

Sources: Conrad Industries annual report 2025 ; Global Market Insight

Customers: Energy (3/3)

Energy Backlog Recovery Provides Cyclical Upside Without Core Dependence

Product & Value Proposition

- Limited but specialized exposure to offshore & energy related vessels
- Highly cyclical, driven by oil & gas market conditions → declines linked to volatile oil prices and reduced offshore investment
- Re-emergence in FY25 from minimal backlog contribution → 6.9% in 2025 vs. 0% in prior years, indicating a recovery from a period of inactivity

Primary Energy Vessel Categories

Lift Boats

- Offshore maintenance, servicing and construction support
- Equipment installation and lifting operations

Offshore Support Vessels

- Transport equipment, crews and supplies to offshore platforms
- Critical for offshore exploration and servicing

LNG Barges

- Transport liquefied gas products along inland waterways
- Supports growing US energy export infrastructure

Segment Positioning

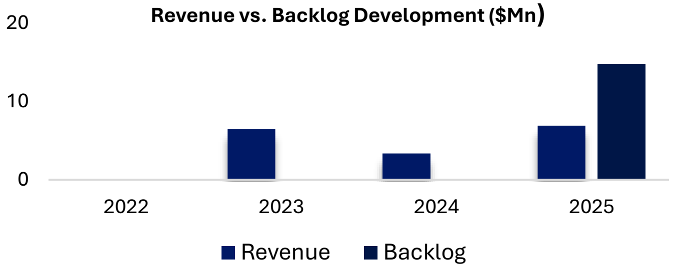
Customers

Oil & Gas Companies | Offshore Drilling | Offshore Support

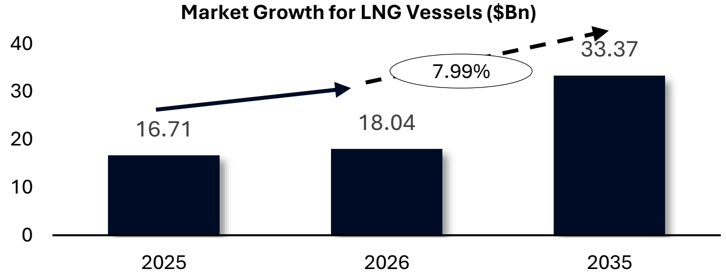
Energy Backlog Compositions
3 LNG Barges

Competitive Position

- Cyclical demand driven by offshore activity and oil price volatility
- Competitive, price-driven environment
- Offshore experienced and established energy related vessel capabilities



Business Economics and Outlook



Margin Factors	Entry Barriers	Cyclicality
▪ Less competitive market ▪ Essential replacement demand ▪ Specialized vessels	▪ Qualified shipyards for complex offshore vessels ▪ Long-standing customer relationships ▪ Regulatory, safety and certification requirements	▪ Historically cyclical ▪ Energy spending dependent ▪ Project timing volatility

Outlook

- A persistently weak demand environment, with limited large project orders and pricing pressure constraining backlog formation
- Strategically deprioritized segment, with Conrad allocating capacity opportunistically rather than relying on energy as a core growth driver

Notes: LNG barge demand benefits from US LNG infrastructure growth, while offshore vessel demand remains cyclical and oil-price dependent.

Sources: Conrad Industries annual report 2025 ; Fortune Business Insights

Repair & Conversion

Recurring Maintenance and Retrofit Demand Support Stable Utilization and Higher-Margin Revenue Contribution

Product & Value Proposition

- Maintenance, repair and retrofit services across commercial and government fleets
- Recurring services demand driven by mandatory vessel maintenance and operational uptime requirements
- Faster project cycles and lower capital intensity support steady cash flow generation and yard utilization

Services

Drydock & Maintenance Services

- Routine inspection, steel renewal & repairs
- Supports fleet uptime and regulatory compliance

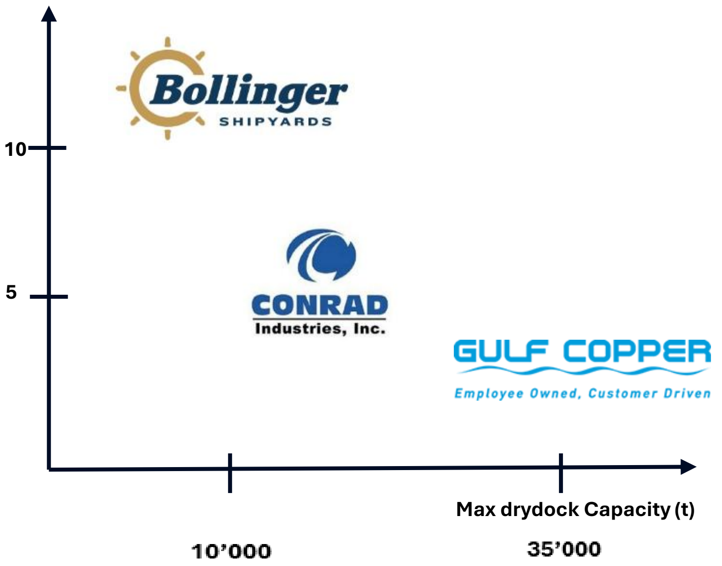
Vessel Retrofit & Conversion

- Extends vessel lifespan & operating efficiency
- Driven by environmental & operational upgrades (EPS/ABS/USCG)

Government & Industrial Repair Work

- Maintenance support for federal & industrial fleets
- Relationship-driven recurring service business

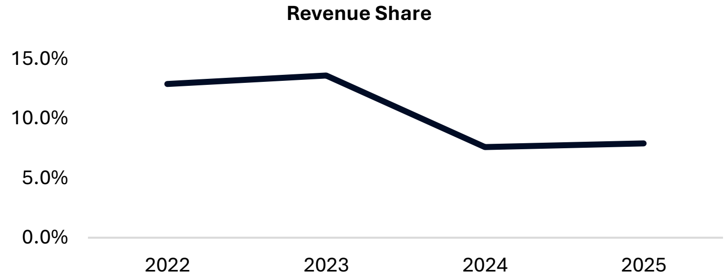
Segment Positioning

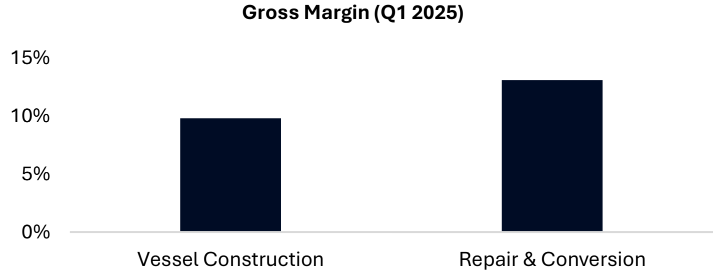


Competitive Position

- Recuring maintenance demand supports resilient utilization though market cycles
- Relationship-driven market with proximity and turnaround speed as key differentiators
- Moat: Established Gulf Coast repair infrastructure and drydock capabilities

Business Economics and Outlook





Outlook

- Aging US vessel fleet supports long-term repair and retrofit demand
- Increasing regulatory and environmental upgrades create modernization opportunities
- Stable recurring revenue stream enhances overall earnings resilience and margin profile

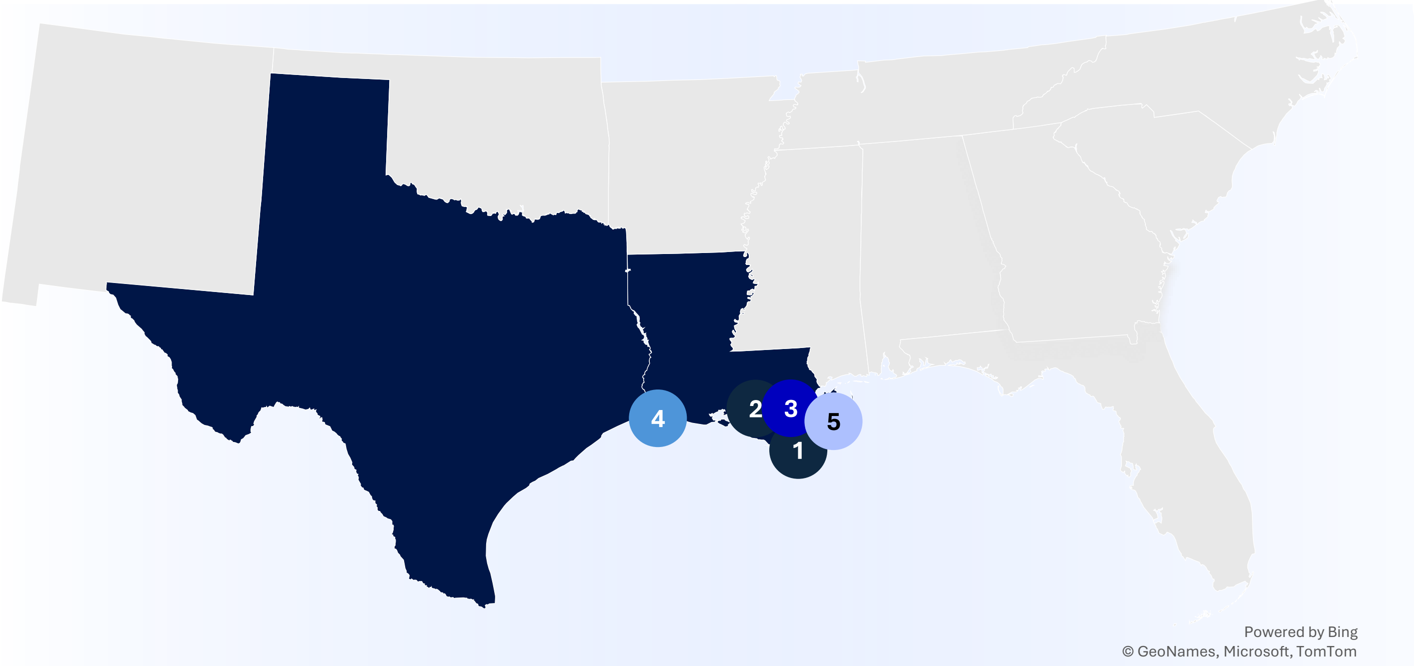
Notes: Max drydock Capacity: Conrad: 125000, Bolliger: 10500, Gulf Copper: 35000; Yards: Conrad: 5, Bolliger: 19, Gulf Copper: 3

Sources: Conrad Industries annual report 2025; Conrad Website; Bolliger Website; Gulf Copper Website

Geographic Presence

Clustered Gulf Coast Footprint Enables Specialized Yard Efficiency

Location of Shipyard



- **Clustered Gulf Coast presence:** with all yards located close to headquarters and coastal vessel demand
- **Short distances between yards:** reduces transport, coordination and project-allocation complexity
- **Specialized yard setup:** allows efficient allocation across steel newbuild, aluminum work, repair and deep-draft projects

Shipyard Specialization

1. **Morgan City, LA: Newbuild Steel**
   Founding yard, operating since **1948**; focused on steel newbuild vessels and HQ functions
2. **Amelia West, LA: Newbuild Steel**
   Steel newbuild yard, supporting larger government and commercial projects, including YRBM work
3. **Amelia East, LA: Newbuild Aluminum**
   Aluminum-focused yard with specialized welding capabilities for lighter vessel structures
4. **Orange, TX: Repair**
   Repair hub with floating drydocks, focused on maintenance, repair and conversion work
5. **Deepwater, LA: Deep-Draft**
   Supplemental deep-draft capacity, supporting larger and more complex vessel projects

Notes: Orange TX Yard is located at the boarder to Louisianna

Sources: Conrad Industries annual report 2025, TomTom Maps

Value Chain & End-Market Positioning

Steel-Intensive Midstream Player; Between Commodity Inputs and Concentrated Department of Defense Buyer

Value Chain

Steel & Alu
Inputs
- 30–40% of COGS
- 2025 tariffs hit

Components
Engines, etc
- Sub-vendor sourced
- Long lead-time items
- Schedule-critical

Engineering
Design
- In-house ABS-class
- Class society liaison
- Lean technical staff

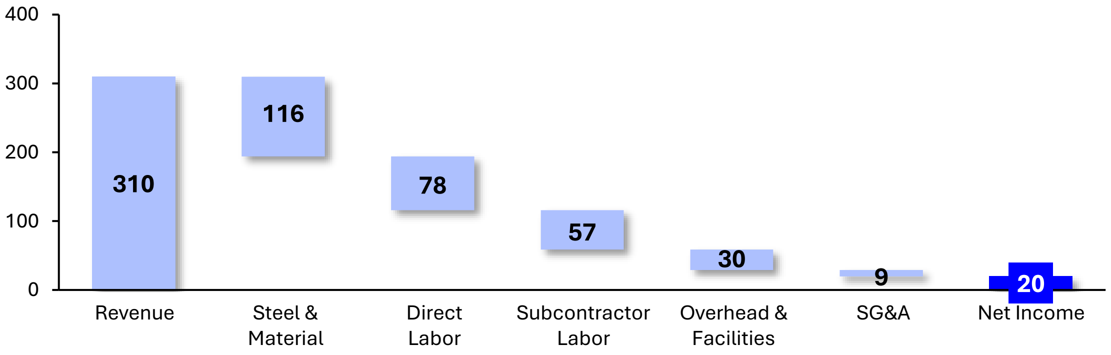
Fabrication
Steel cut & weld
- Largest cost bucket
- 3 yards Gulf Coast
- Skilled-labor bound

Outfitting
Systems install
- Integrate components
- Sequencing-critical
- In-house labor

Commissioning
Trials & delivery
- USCG/ABS sign-off
- Milestone billing
- Liquidated damages

Aftermarket
Repair/refit
- Higher margin work
- Drydock revenue Recurring

Costs ($Mn)



Commentary

- **Steel & Materials at $116Mn** (37% of revenue) is the largest cost driver, 25% US steel tariffs posing the key 2026 margin risk
- **Labor ($135Mn combined, 44% of revenue)** dominates costs, split between direct employees ($78Mn) and subcontractors ($57Mn) in a tight Gulf Coast market
- **Conrad achieves $19.9Mn net income** (6.4% margin) as falling loss provisions and higher volume improve profitability.

Notes: The value chain is illustrative and not exhaustive

Sources: Conrad Industries annual report 2025; Conrad Website, Bloomberg

Revenue Cycle

Backlog Converts into Revenue, but Cash Conversion Depends on Milestones and Working Capital

How Conrad Gets Projects

New construction (92%)

Award → Down Payment → Build → Milestones → Delivery

- Award: Contract signed, added to backlog
- Down Payment: Customer prefunds (10-30%)
- Build: Revenue recognized as % complete
- Milestones: Progress payments (0-50%)
- Delivery: Final payment and (35-65%)

Repairs & conversions (8%)

Vessel comes in → Work → Delivery

- Vessel comes in: Single drydock slot at one of 5 yards
- Work: Revenue recognized as % complete
- Delivery: Same-quarter cash: Often 1–4 week cycle

Risks & Hedges

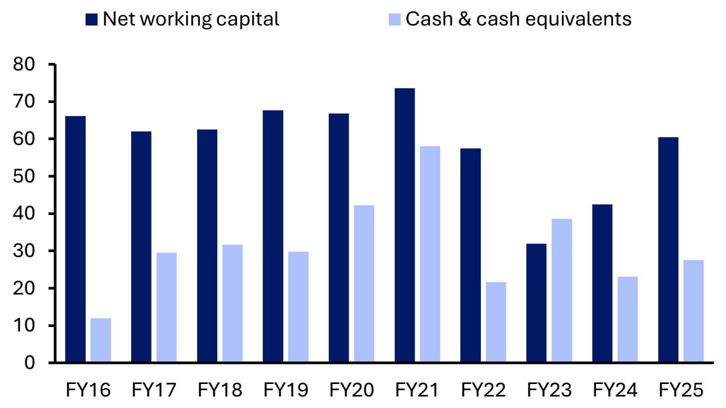
Risks

- **Fixed-price exposure:** cost overruns directly hit margins
- **Steel price volatility:** only partly protected by escalation clauses
- **Labor & overhead inflation:** largely unhedged cost pressure
- **Percentage of Completion accounting risk:** revenue can lead cash collection
- **NWC intensity:** Receivables tie up cash during builds

Hedges

- **Steel escalation clauses** in some commercial contracts
- **Down payments and progress payments** reduce funding burden
- **Supplier terms / payables** partly offset cash needs
- **Strong cash reserves** absorb project cycle volatility

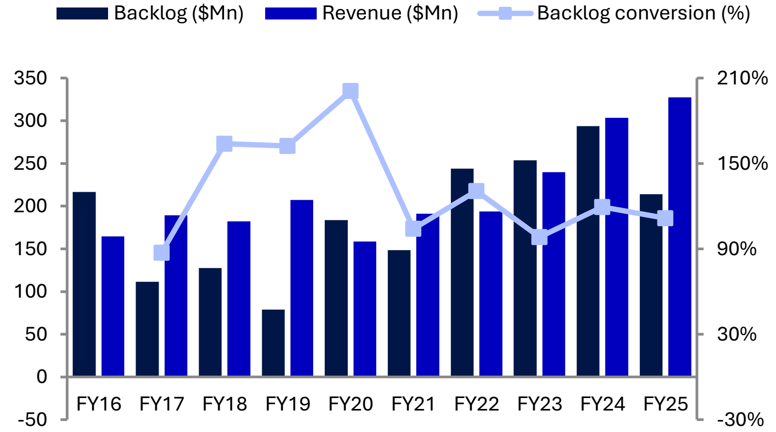
Net Working Capital and Cash ($Mn) development



- **High NWC ties up cash** in ongoing projects
- **Not ideal for cash conversion**, but normal in vessel construction
- **Cash reserves remain strong**, reducing liquidity risk
- **Cash buffer funds operations** before milestone payments arrive

Notes: POC = Percentage-of-Completion accounting (revenue recognized as costs incurred)

Backlog Development & Conversion



- Average **backlog conversion**: ~130%
- Revenue often exceeds **prior-year** backlog (intra-year orders)
- FY18–showed peak coFY20nversion and fast project turnover
- Recent years normalized near ~100–130%
- Backlog provides visibility, but execution speed drives revenue

Sources: Conrad Industries Annual Reports FY2016–FY2025

HIC CAPITAL

CONRAD Industries, Inc.

Conrads Positioning Results in Strong Moat

Conrad Benefits from Significant Structural Barriers to Entry Across Regulation, Infrastructure and Labor

Barries to Entry

1 Regulatory Moat

- Jones Act (1920) mandates U.S.-built, US-flagged, US-crewed vessels for all domestic cargo; foreign yards structurally excluded.
- Army Corps Section 10/404 permits and full NEPA review required for waterfront construction; greenfield permitting routinely 2–3 years.
- Federal qualification requires ABS classification, USCG plan approval.

2. Shipyard Acquisition

- Distressed Gulf Coast yards trade at $28–30M (Bollinger / Gulf Island 2021: 437 acres, 4 drydocks, $28.6M); greenfield replacement multiples higher.
- A new 25,000-ton drydock costs ~$79M (Colonna's, 2025); Navy's Portsmouth project escalated from $528M to $2.2B in 2019–21.
- Mid-market marine M&A trades 5–7× EV/EBITDA; $126B+ across 2,486 deals (Q1 2020–Q3 2024), avg deal ~$51M.

3. Skilled Labor Force

- BLS projects 39,000 fewer ship/boat-building trade jobs by 2032 as battery and semi industries compete for the same welders and pipefitters.
- Entry-level shipyard wages ($20–21/hr) barely exceed fast food ($18/hr) for far harder conditions; structural recruitment barrier.
- Navy's 45-day review: sector needs 174,000 new workers by 2034; all 7 Navy primes cited workforce challenges to the GAO.

Conrad Positioning

Regulatory Moat		Shipyard Acquisition		Skilled Labor Force	
75	Years, Jones Act-compliant incumbent with USCG, ABS, and government contract history that took decades to build.	22.8 $Mn	Orange Shipbuilding acquired 1997, plus Deepwater South built 2012–16, well below today's replacement cost; embedded asset value advantage.	3	Labor pools: Conrad's Gulf Coast footprint taps petrochemical, offshore energy, and maritime workers simultaneously
5	Shipyards permitted Gulf Coast facilities (Morgan City, Amelia ×3, Orange TX) with waterfront rights, environmental approvals, and drydocks already in place.	5	Yards integrated Gulf Coast production system delivers scheduling flexibility, redundancy, and cross-yard capacity single-facility rivals cannot match.	6	Vessel Classes: barge, tug, OSV, ferry, dredge, liftboat experience; institutional knowledge effectively irreplaceable.
293.8 $Mn	...backlog across 57 projects at end-2024 proves bonding capacity and contract credibility that locks out undercapitalized entrants.	+47 $Mn	net income swing from –$27M (2023) to +$19.9M (2025) on a fully permitted asset base with no incremental land or drydock capex.	71.6 $Th	Industry avg wage (BLS 2023); Conrad's Gulf Coast base taps petrochemical, offshore, and maritime labor pools simultaneously.

Structural MOAT

The Triple-Gated Moat

- **Barriers compound:** Jones Act + ABS + USCG, $28–80Mn+ per yard, welders from a pool shrinking 39,000 jobs by 2032.
- **Cleared at pre-inflation cost:** Orange 1997 ($22.8M), Deepwater South 2012–16, **$293.8M backlog / 57 projects**.
- **Catch-22 is permanent:** $50Mn+ bonding needs contract history; Conrad inside since 1948.
- **Marginal supplier locked out:** rising Navy demand flows to ~10 qualified yards, Conrad among them.

Why Customers Stay

- **Switching costs scale with the moat**: re-bidding prohibitive; net income –$27Mn (2023) → +$19.9M (2025), same assets.
- **Pricing power empirical:** 2022 and 2024 wage hikes passed through, no attrition.
- **Fleet-level lock-in**: barge, tug, OSV, ferry, dredge, liftboat in parallel; lifecycle repair stays for decades.
- **Workforce depth widens the gap**: industry needs 174,000 workers by 2034; Conrad taps petrochemical, offshore, maritime pools rivals cannot.

Notes:

Sources: Conrad Industries 10-K 2024 / Q1 2025 filings; BLS OEWS May 2024 (NAICS 336600); Jahani & Associates Marine M&A Database Nov 2024; GAO-23-106067; WorkBoat; USNI News / HASC Testimony March 2025

Strategic Deal Implications for Conrad

Strategic Partnerships Could Expand Conrad into Higher-Growth, Higher-Margin End Markets

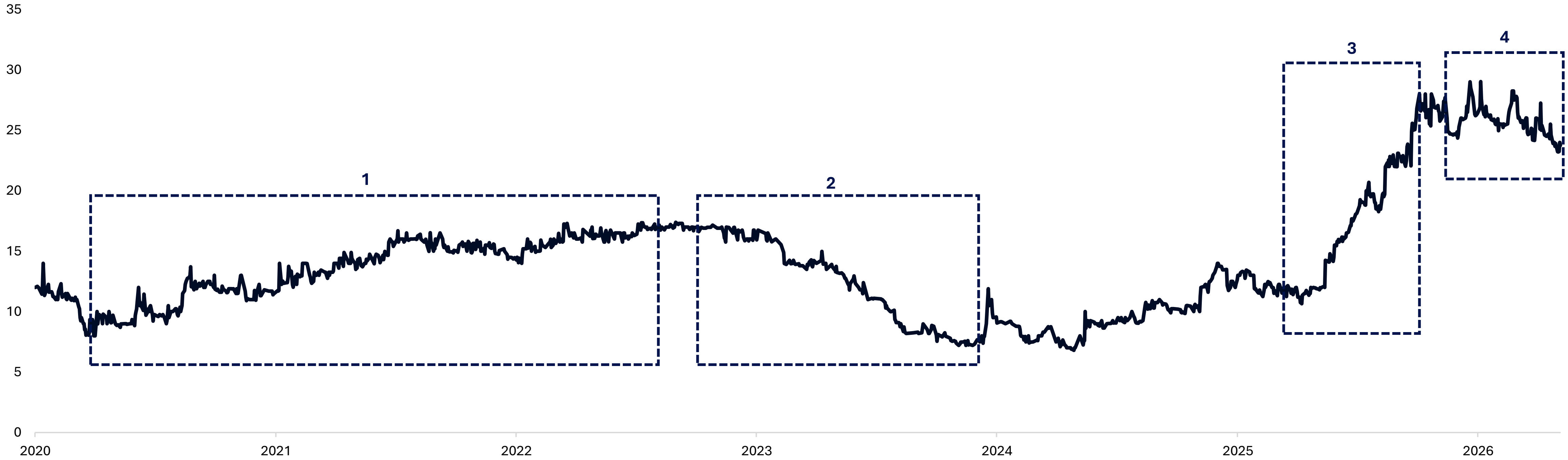
	Deal explination			Implications for Conrad	Future implications
Conrad x Samsung Heavy Industries	**MOU signed Dec 4, 2025**			**Margin Lever**	**Specialty Premium** U.S. LNG bunkering grows 11% CAGR; SHIPS Act creates captive demand
	Scope	SHI Brings	Conrad Brings	LNG cryogenic work earns 10–12% margins	**MASGA halo** 2–4 LNG bunker vessels/yr → \$60–200M revenue; 10–12% margin → \$6–24M net income
	Joint pursuit of US LNG bunkering vessel projects - feasibility, design, financing, construction	World-class LNG cargo containment IP; 120 commercial ships + 3 FLNG units in current orderbook	**Jones-Act-compliant U.S. yard**; built first LNG bunker barge in North America (2018, Q-LNG 4000)	**Sole U.S. partner** Samsung chose for bunkering segment	
				Access to Korean shipbuilding IP and financing	
Conrad x Blue Water Autonomy	**Production agreement signed Sep 24, 2025**			**Volume Lever**	**Autonomous Supercycle** Autonomous vessels: \$0.9B → \$3.9B (~23% CAGR); Blue Water MUSV contender
	Product	Target	Roles	At 10–20 ships/yr × \$20–30Mn each	**USCG/DoD OSC demand** Conrad's YRBM track record (9th barge, \$151.9m cumulative) signals Navy trust
	Liberty Class - 190 ft steel-hulled unmanned surface vessel (USV)	**10–20 vessels per year** at serial scale	Blue Water owns design, autonomy stack & Navy relationship; **Conrad is the exclusive production yard**	Higher Margins (10-12%) caused by edge	
				Middle-term backlog rebuild catalyst	

Notes: LNG: Liquified natural gas

Sources: Fortune Business Insights, Mordor Intelligence, MarketsandMarkets, Fact.MR, CRS, USNI News

Stock Price Performance

Stock Performance Highlights Turnaround from Cyclical Pressure to Profitability



1

Strong recovery as orders returned
As market sentiment improved and backlog rebuilt, investors priced in a recovery in vessel demand.

2

Inflation and fixed-price losses
Rising steel, labor and supply-chain costs pressured margins, especially on older fixed-price contracts.

3

Margins turnaround
Profitability recovered strongly as contract execution improved and higher volume translated into positive earnings.

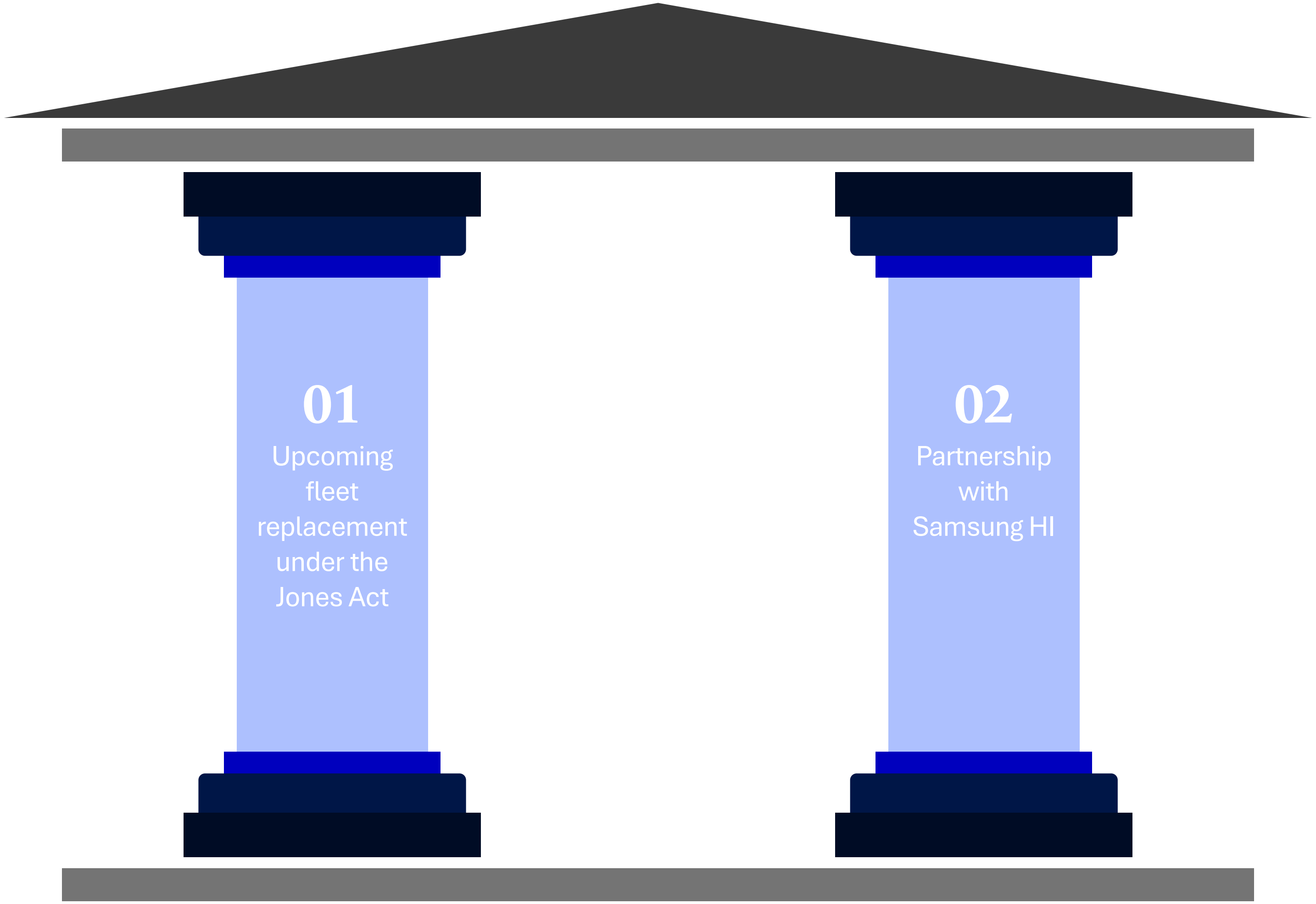
4

Backlog concerns
Despite stronger earnings, lower backlog reduced visibility and likely weighed on investor sentiment.

Investment Thesis

Thesis Pillars

Structural Tailwinds Position Conrad for Multi-Year Growth



01 Aging U.S. vessels under the Jones Act require replacement, supporting long-term domestic shipbuilding demand

02 Cooperation with Samsung Heavy Industries improves access to advanced vessel designs and larger-scale projects

Thesis 1/2

Aging Jones Act Fleets Support a Multi-Year Replacement Cycle

Aging U.S. Inland Fleet
- Average fleet age 17-18 years
- 600+ tank barges older than 30 years
- Increasing maintenance costs
- Replacement cycle accelerating

+

Regulatory & Infrastructure Pressure
- Stricter environmental regulations
- Demand for more efficient vessels
- Government infrastructure investments
- Modernization of ports and waterways

Main value drivers

- **Jones Act Protection**: The Merchant Marine Act 1920 requires vessel operating between US port to be built domestically, protecting US shipbuilders from foreign competition
- **Environmental & Efficiency Upgrades:** Older fleets face rising maintenance and fuel costs, while operators increasingly modernize fleets to meet stricter environmental and efficiency standards.

Inland Vessel Market

2025-2033 forward 3.9 % CAGR

Government & Dredging

2025-2033 forward 3.4 % CAGR

Infrastructure Modernization

2025-2033 forward 6 % CAGR

Shipbuilding & Repair

2025-2033 forward 4.9 % CAGR

Bear case
Higher steel prices, labor shortage and delayed customer capex pressure margins and slow replacement activity.

Base case
Stable inland transportation demand and ongoing infrastucture investment support steady fleet modernization.

Bull case
Accelerated replacement of aging Jones Act fleets and stronger government spending drive above-cycle demand for barges and specialized vessels.

Headwinds

Cost Inflation & labor Constraints
Rising steel and labor costs may pressure margins

Cyclical Shipbuilding Market
Commercial demand may fluctuate with with the economy

Tailwinds

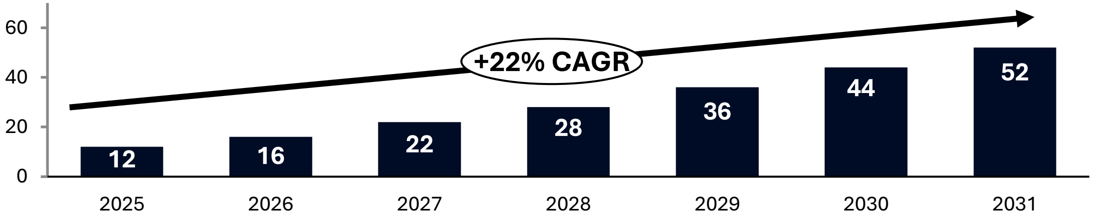
Protected Market
Jones Act regulation limits foreign competion in US domestic shipbuilding.

Diversified Exposure
Can offset cyclicality across business segments

Thesis 2/2

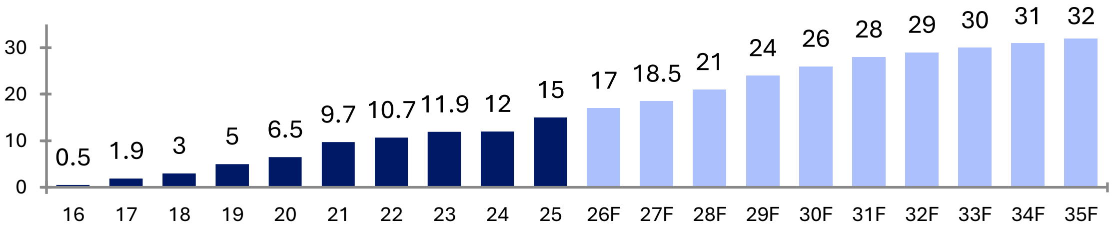
Samsung Heavy Industries cooperation lets Conrad ride the LNG-vessel build-out with R&D firepower no Jones Act peer can match

Jones Act LNG Bunker Fleet Build-Out (%)



Projected US-built LNG-capable vessel demand grows from 12 units in 2025 to 52 by 2031, implying ~22% CAGR. This reflects the need for Jones Act-compliant feeder, bunkering and support vessels as LNG infrastructure expands.

US LNG Exports (Bcf/day)



U.S. LNG export capacity has expanded rapidly since 2020 and is forecast to reach ~32 Bcf/day by 2035. This structural LNG build-out should increase demand for coastal logistics, bunkering vessels and specialized support capacity.

CONRAD Industries, Inc.

Conrad's MoU with Samsung Heavy Industries creates a joint R&D platform for LNG fuel-gas, dual-fuel and ammonia-ready tank barge designs. This reduces Conrad's standalone development burden and can give it a stronger position in the growing LNG-related barge market. Smaller Jones Act yards without a technology partner may struggle to match this capability.

CONRAD Industries, Inc.

U.S. LNG export capacity has roughly doubled since 2020 and is projected to keep expanding through 2030s. As larger LNG volumes require more coastwise feeder, bunkering and support capacity, Conrad can use Samsung's large-vessel expertise to better serve this demand with larger and more complex Jones Act-compliant vessels.

Potential Headwinds

Elevated LNG capex today
High construction and equipment costs delay near-term order conversion

Concentrated end customers
Few Jones-Act LNG-bunker operators today; orders cluster around 2-3 buyers

Permitting & regulatory drag
U.S. LNG export and bunker permits move slowly across federal agencies

Technology execution risk
First-of-kind LNG dual-fuel builds carry forward-loss risk on early hulls

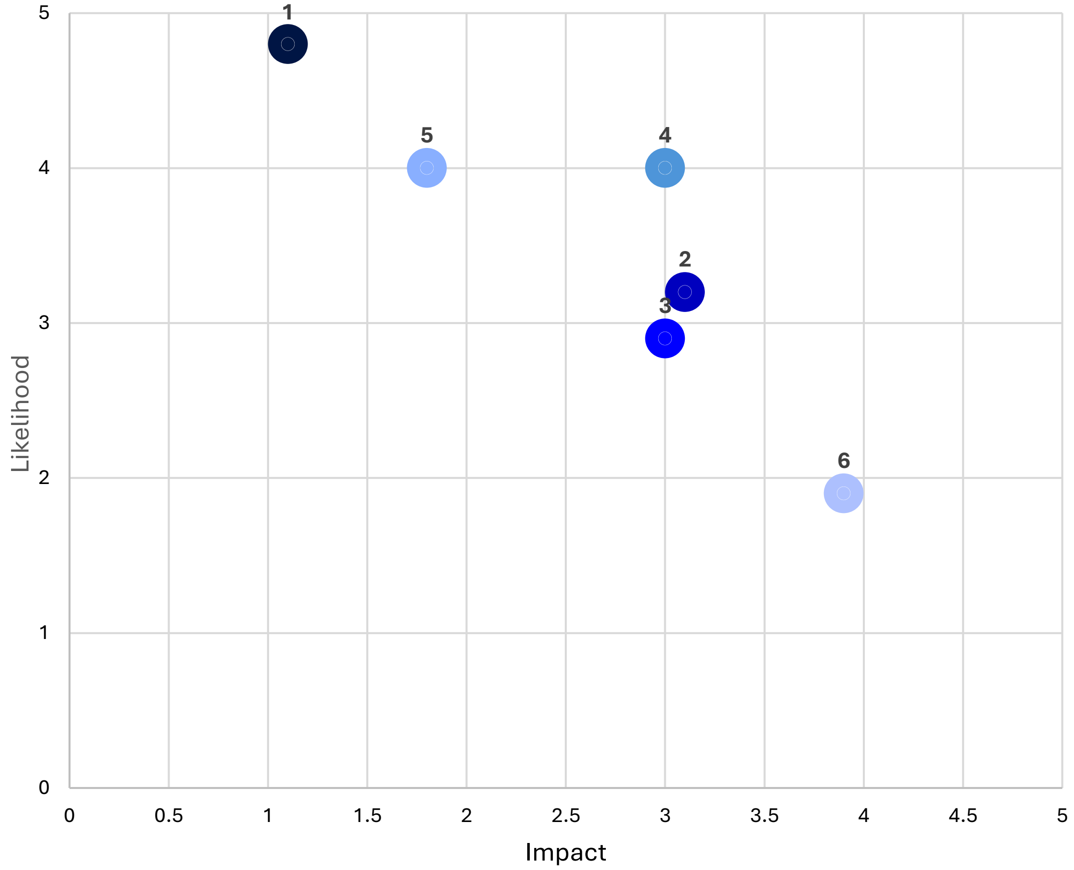
Notes: Bcf/day = billion cubic feet per day. MoU = Memorandum of Understanding

Sources: EIA Today in Energy (Feb 2026), STEO; 2026–28 forecast based on EIA STEO and projects under construction

Risks

Execution and Input-Cost Risk Are the Main Threats to the Investment Thesis

Risk Matrix[1]



Notes: (1) Risk assessment reflects the analyst's qualitative view of likelihood and impact and is not from a single report

Key Risks

Market & Cyclical

1. **Offshore-oil capex cycle**
   OSV/liftboat demand tied to oil price & GoM activity; small share of revenue.
   Limited P&L impact - backlog dominated by inland barges, government & LNG bunkering

2. **Steel & aluminium input costs**
   HRC / plate price spikes compress margins on fixed-price contracts.
   Pass-through clauses, steel surcharges, material lock-in at order entry

Customer & Backlog

3. **Customer concentration**
   Top-3 customers historically >40% of revenue; loss of one award hits utilization.
   Diversified mix across government / commercial / repair (~50/50)

4. **Backlog conversion & cancellation**
   Yards in Morgan City & Amelia, LA; storm damage and downtime documented (Ida, Laura).
   Property insurance, facility hardening, geographically distributed yards

Operational & Efficiency

5. **Hurricane / Gulf Coast exposure**
   Yards in Morgan City & Amelia, LA; storm damage and downtime documented (Ida, Laura).
   Property insurance, facility hardening, geographically distributed yards

6. **Jones Act reform**
   Political loosening would erode protective moat for US yards - low probability tail risk.
   Bipartisan support historically stable; defense & Coast Guard constituency

Sources: Conrad Industries Annual Reports & Earnings Releases, White House Section 232 Proclamations, USITC, industry publications

Financial Analysis

Publicly Listed Peer Groups for Relative Valuation Multiples

Conrad Occupies a Position Between Specialized Niche Yards and Large Industrial Shipbuilders

Tier 1: Close Peers

ASL Marine

PENGUIN

LUNGTEH

SANTIERUL NAVAL ORSOVA SA

ASIMAR

ISRAEL SHIPYARDS

Logic: Smaller shipbuilding & repair services peers with similar margins and business models, mainly from Asia, appear most closely comparable.

CONRAD SHIPYARD

Tier 2: Larger Peers

HD HYUNDAI HEAVY INDUSTRIES

Yangzijiang Shipbuilding

FINCANTIERI

대한조선 DHShipbuilding

Hanwha Ocean

CSSC

Huntington Ingalls Industries

Logic: Larger industrial shipbuilding companies for cargo & defense ships may provide a broader peer group against which Conrad can be benchmarked.

Valuation Comps

Valuations Across Peers Reveal Sharp Dispersion and Highlight Upside Potential

	Company	Mkt Cap ($Mn)	EV ($Mn)	P/E	EV / Revenue	EV/ EBITDA	EV/ EBIT
	Conrad Industries	118.67	149.43	5.47x	0.5x	5.36x	6.20x
Tier 1	ASL Marine Holdings Ltd	327.69	424.63	11.10x	1.54x	7.66x	17.65x
Tier 1	Penguin International Ltd	261.41	281.38	9.44x	1.34x	7.23x	12.47x
Tier 1	Lungteh Shipbuilding	494.54	446.45	18.70x	2.68x	13.16x	16.42x
Tier 1	Asian Marine Services	11.42	14.46	8.41x	0.51x	3.71x	7.59x
Tier 1	Santierul Naval Orsova	34.21	27.45	17.27x	1.04x	7.86x	12.70x
Tier 1	Israel Shipyards Industries Ltd	1296.42	1375.96	138.44x	2.53x	24.19x	97.94x
				Median: 14.19x	**Median: 1.44x**	**Median: 7.76x**	**Median: 14.56x**
Tier 2	HD Hyundai Heavy Industries	5'074'409	4'880'064	23.20x	2.80x	16.00x	17.80x
Tier 2	Hanwha Ocean Co Ltd	2'521'836	2'857'561	22.50x	3.00x	18.80x	21.40x
Tier 2				14.20x	1.10x	7.30x	9.10x
Tier 2	China CSSC Holdings	44'880	29'830	8.30x	2.00x	6.00x	6.30x
Tier 2	Yangzijiang Shipbuilding	12'222	10'127	22.00x	0.60x	7.80x	13.60x
Tier 2				11.28x	0.32x	6.48x	10.18x
Tier 2	Fincantieri SpA	4'719	6'818	9.80x	1.80x	6.20x	6.50x
Tier 2	Naikai Zosen	166	90	17.50x	1.20x	13.90x	19.70x
				Median: 15.85x	**Median: 1.50x**	**Median: 7.55x**	**Median: 11.89x**

Net Income Build

Minimal Leverage Makes LFCF a Direct Proxy for Equity Value

EBIT	**(12,073.0)**	**(23,462.0)**	**(36,825.0)**	**12,193.0**	**24,116.0**	**19,157.9**	**14,578.7**	**18,165.5**	**21,480.2**	**23,667.1**	**26,459.1**	**27,263.3**	**28,038.7**	**28,866.0**	**29,328.2**
Change in %		*94.3%*	*57.0%*	*-133.1%*	*97.8%*	*-20.6%*	*-23.9%*	*24.6%*	*18.2%*	*10.2%*	*11.8%*	*3.0%*	*2.8%*	*3.0%*	*1.6%*
Interest expenses	(233.0)	(237.0)	(230.0)	(199.0)	(409.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other income/(expenses), net	18,099.0	412.0	730.0	6,611.0	2,651.0	2,704.0	2,771.6	2,854.8	2,940.4	3,028.6	3,119.5	3,197.5	3,277.4	3,359.3	3,443.3
Income/(loss) before income taxes	5,793.0	(23,287.0)	(36,325.0)	18,605.0	26,358.0	21,862.0	17,350.3	21,020.3	24,420.6	26,695.7	29,578.6	30,460.8	31,316.1	32,225.4	32,771.5
Provision/(benefit) for income taxes	(657.0)	(5,858.0)	(9,297.0)	7,379.0	6,483.0	6,363.7	6,224.7	6,411.4	6,603.8	6,801.9	7,005.9	7,216.1	7,396.5	7,544.5	7,695.4
Net Income/(loss)	**6,450.0**	**(17,429.0)**	**(27,028.0)**	**11,226.0**	**19,875.0**	**15,498.2**	**11,125.6**	**14,608.8**	**17,816.8**	**19,893.8**	**22,572.7**	**23,244.6**	**23,919.5**	**24,680.9**	**25,076.2**
Change in %		*-370.2%*	*55.1%*	*-141.5%*	*77.0%*	*-22.0%*	*-28.2%*	*31.3%*	*22.0%*	*11.7%*	*13.5%*	*3.0%*	*2.9%*	*3.2%*	*1.6%*

Conrad has no long-term interest-bearing debt, making LFCF the more relevant valuation metric. With minimal leverage and limited financing complexity, LFCF effectively flows directly to equity value without requiring a separate unlevered valuation framework.

Cost of Capital Assumptions and Calculation

Conrad's Low-Leverage Structure Supports a 9.4% WACC and Stable Cost of Capital

WACC Calculation - CNRD.OTC

Cost of Debt	
Interest Rate of Debt	-
Tax Rate	21%
Cost of Debt	-

Cost of Equity	
US 10y Bond	4.95%
Market Return	11.950%
Market Premium	7.000%
Beta	0.63
Cost of Equity	9.39%

Beta	Levered	Tax Rate	Debt/Equity	Unlevered
ASL Marine Holdings Ltd	0.67	17.00%	3.487	0.2
Jong Shyn Shipbuilding	0.38	20.00%	6.716	0.1
Lungteh Shipbuilding	0.83	20%	1.358	0.4
Mean				*0.210*
Damodaran (Beta)				*0.6*
Conrad Industries, Inc.	0.634	21%		0.634

WACC	
WACC	9.39%

* Conrad has issued zero debt

Discounting of LFCF and Terminal Value

Stable Long-Term Cash Flow Generation Supports Meaningful Equity Upside

LFCF

Net Income/(loss)	6,450.0	(17,429.0)	(27,028.0)	11,226.0	19,875.0	15,498.2	11,125.6	14,608.8	17,816.8	19,893.8	22,572.7	23,244.6	23,919.5	24,680.9	25,076.2
D&A	6,194.0	5,738.0	5,076.0	4,050.0	3,781.0	3,886.9	3,991.8	4,095.6	4,193.9	4,290.4	4,384.7	4,476.8	4,566.4	4,657.7	4,750.8
CapEx	(1,962.0)	(2,308.0)	(1,763.0)	(2,690.0)	(4,548.0)	(5,184.7)	(5,858.7)	(6,561.8)	(7,218.0)	(7,867.6)	(8,497.0)	(9,176.7)	(9,910.9)	(10,604.6)	(11,347.0)
Change in NWC		14,787.0	(51,322.0)	30,580.0	19,195.0	5,790.3	6,031.3	6,179.2	6,219.5	6,140.1	5,710.0	5,303.3	4,761.0	4,279.5	3,782.0
LFCF						8,410.1	3,227.4	5,963.5	8,573.3	10,176.4	12,750.4	13,241.4	13,814.0	14,454.4	14,698.0
Change in %							*-61.6%*	*84.8%*	*43.8%*	*18.7%*	*25.3%*	*3.9%*	*4.3%*	*4.6%*	*1.7%*

NPV LFCF

LFCF	8,410.1	3,227.4	5,963.5	8,573.3	10,176.4	12,750.4	13,241.4	13,814.0	14,454.4	14,698.0
Discount x	*1*	*2*	*3*	*4*	*5*	*6*	*7*	*8*	*9*	*10*
NPV LFCF	7,688.3	2,697.2	4,556.1	5,987.8	6,497.5	7,442.3	7,065.6	6,738.5	6,445.8	5,991.9
WACC (CoE)										9.39%
Aggregated NPV LFCFs										**61,110.9**

Equity Value

LFCF 2036	15,139.0
Growth rate	3.00%
Terminal Value	236,990.9
NPV TV	88,321.2
Equity Value	149,432.1

Notes:

Sources:

DCF Base, Bear & Bull

DCF Scenario Analysis Suggests Attractive Upside with Limited Longterm Downside Risk

Unlevered DCF Valuation - Conrad Industries, Inc.

Overview

Company Name	Conrad Industries, Inc.	**Proposed Value per share**	**29.7796**
Stock Ticker	CNRD.OTC	*% premium per share*	25.9180%
Latest closing Share Price	USD 23.65	**Propsed Equity Value**	**149,432.1**
Lastest closing share Price date	12/05/2026	*Diluted shares outstanding*	5,017.935
Latest closing Equity Value			
WACC	9.39%		
Growth rate	3.00%		

Base Case:	29.8	25.92%	Steady recovery from 2027 onwards, with 3x and high value government contracts activating in 2028
Bull Case:	39.7	67.83%	2027 growth highly set, with the release in RE and Cash allowing high volumes of production into 2028
Bear Case:	21.2	-10.22%	Very High Steel price with no hedges and small recovery window post 2027, fully set on RE and cash balance inhouse financing

Notes: Share price in $

Sources:

HIC CAPITAL

CONRAD Industries, Inc.

Discounted Cash Flow Analysis: Sensitivity Table

Long-Duration Forecast and Low Leverage Reduce Sensitivity to WACC and Terminal Growth Assumptions

t growth \ WACC	8.000%	8.500%	9.000%	9.388%	10.000%	10.500%	11.000%
1.00%	31.2345	28.8417	26.7598	25.3226	23.319	21.883	20.5981
1.50%	32.7255	30.0756	27.7909	26.225	24.0571	22.5141	21.1411
2.00%	34.4649	31.4992	28.9692	27.2495	24.8875	23.2195	21.7443
2.50%	36.5205	33.1601	30.3289	28.4227	25.8285	24.013	22.4186
3.00%	38.9873	35.1229	31.9152	**29.7796**	26.9041	24.9124	23.1771
3.50%	42.0023	37.4784	33.7898	31.367	28.145	25.9402	24.0367
4.00%	45.771	40.3573	36.0394	33.2489	29.5929	27.1262	25.0192
4.50%	50.6165	43.9559	38.789	35.5159	31.3039	28.5098	26.1528

Commentary

- The selected 3.0% terminal growth rate reflects the blended long-term CAGR assumptions across Conrad's core subdivisions and balances the company's cyclical exposure with structural tailwinds from Jones Act fleet renewal, LNG infrastructure and government vessel demand.
- While at long-term inflation, the assumption remains below projected growth rates across several of Conrad's underlying end markets, including inland vessels, dredging and infrastructure modernization.
- The 9.39% discount rate incorporates Conrad's small-cap illiquidity, project-based revenue volatility and customer concentration, partially offset by the company's debt-light balance sheet and protected domestic market exposure.
- Sensitivity to WACC assumptions is comparatively moderate due to Conrad's minimal leverage and the use of a long-duration 10-year forecast period, which reduces reliance on terminal value assumptions relative to shorter-duration DCF models.

Discount Rate Selection

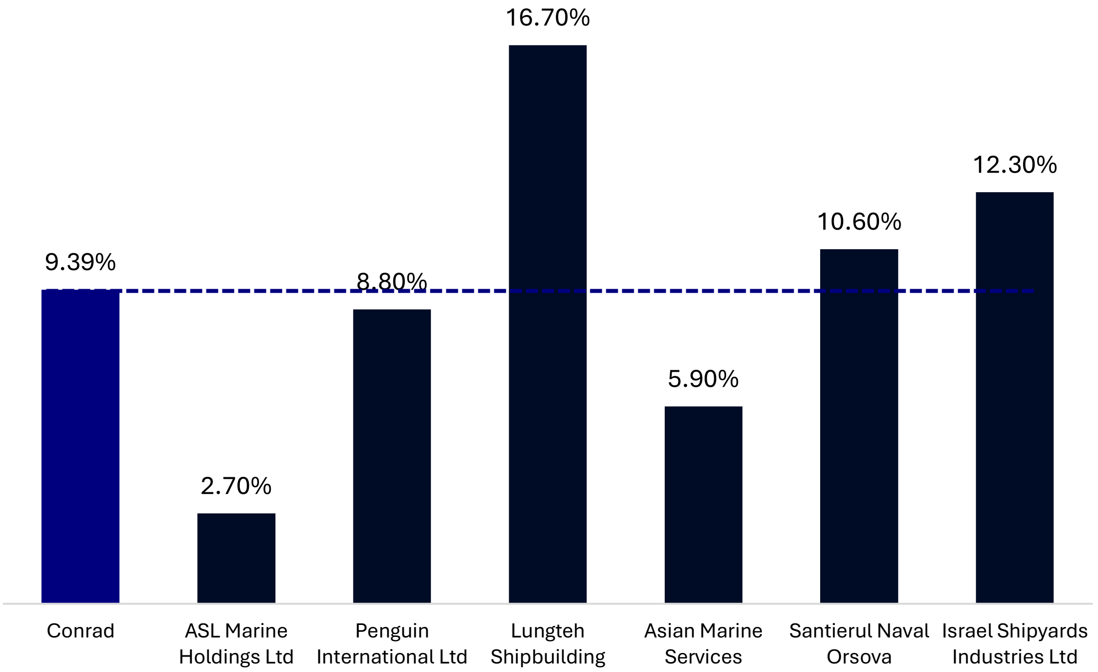
Due to Conrad Industry Choosing to Fully Finance Their Projects Inhouse, Cost of Equity is to be Selected

Derivation Cost of Capital

Cost of Equity	
Risk free rate	4.95%
Beta	0.634
Market Risk Premium	7.00%
Cost of Equity	9.39%

Cost of Capital (WACC)	
Market value of equity	100%
Market value of net debt	0%
Cost of capital (WACC)	**9.39%**

Comparables Cost of Capital



REMARKS:

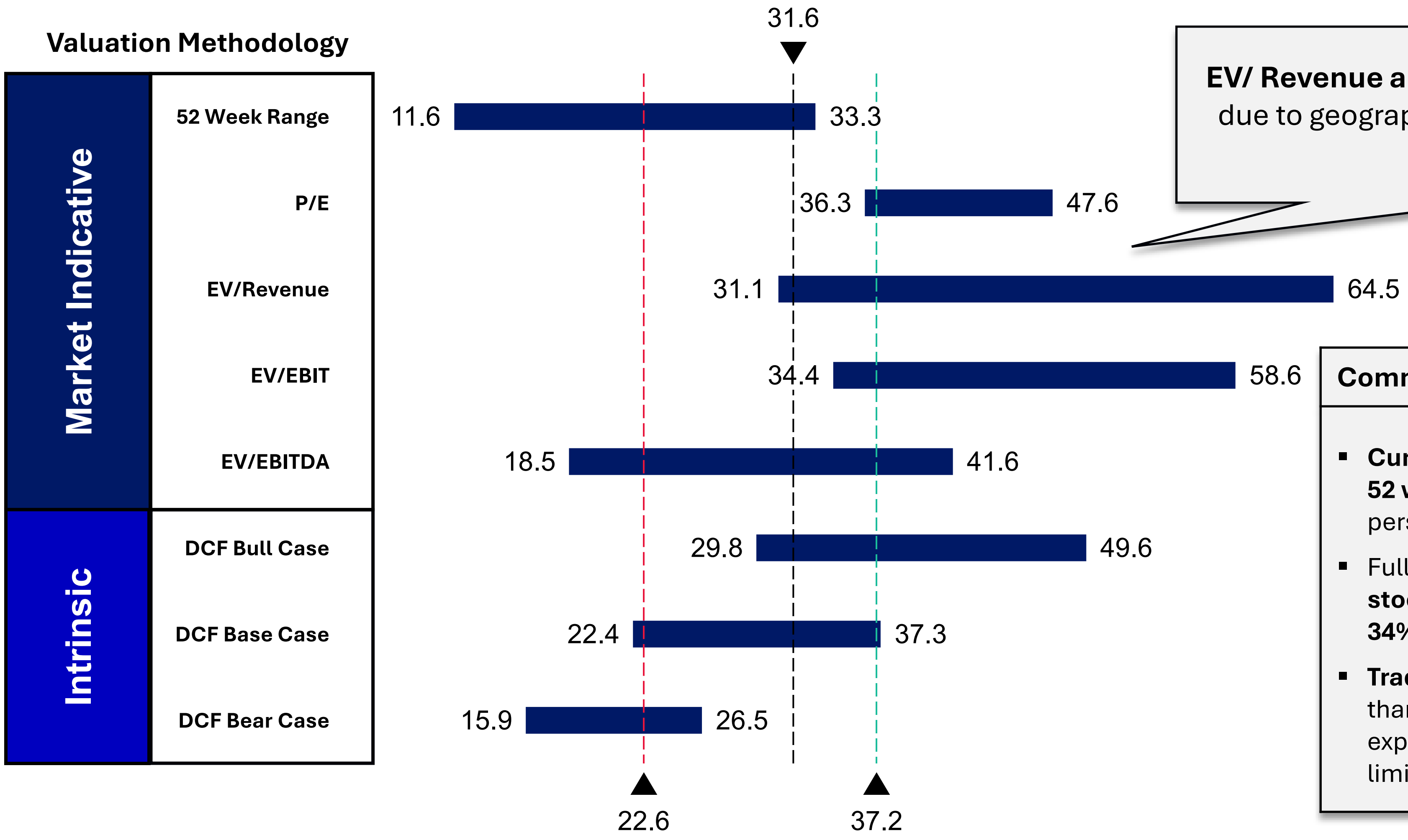
- Risk-free rate based on US 10-year Treasury yields
- Beta derived based on comparable peer group
- Market risk premium based on historical S&P 500 returns

TAKE AWAY:

- Conrad Industries **does not hold any debt** → They don't have any cost of debt
- **Conrad can compete** in terms of Cost of Capital

Valuation Summary

Intrinsic and Market Valuation Methods Indicate Meaningful Upside Versus the Current Share Price



EV/ Revenue and EV/EBIT are not fully compatible due to geographic scattering and different revenue intake models

Commentary

- **Current share price sits in the middle of the 52 week range**, indicating a neutral market perspective on recent events
- Fully correlated valuation efforts **pricing the stock at 31.6 project an upside potential of 34%**
- **Trading mutliples are to be weighted weaker** than intrinsic valuations and the market expectancy as comparable companies are limited

Conclusion

Conclusion

Structural Industry Tailwinds and Strategic Partnerships Support Attractive Long-Term Upside

Investment Thesis

- Upcoming fleet replacement under the Jones Act
- Partnership with Samsung HI

Valuation

- Current price: 22.6 USD
- Target share price: 31.6
- Implied upside: **39.8%**

Potential Risks

- Increased input costs especially steel
- Jones act waiver
- Dependency on LNG expansion

Concluding Recommendation

- HIC Capital should **BUY** shares of CNRD
- Proposed time horizon for investment : 5-7 Years

CONRAD
Industries, Inc.

Target Price (Upside):	USD 22.6
Current Price:	USD 31.6
Upside Potential:	39.8%
Time Horizon:	5-7 years
Recommendation:	Buy

Appendix A

Income Statement

Future assumptions with high steel prices mixed in

	Historicals					Forecast									
Income Statement	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**	**2032**	**2033**	**2034**	**2035**
Revenue															
Vessel construction	163,091.0	168,757.0	207,139.0	280,231.0	301,735.0	318,330.4	335,838.6	364,384.9	394,446.6	423,832.9	451,594.0	474,391.8	493,367.5	508,168.5	518,331.9
Change in %		*[illegible]*	*22.74%*	*35.29%*	*7.67%*	*5.50%*	*5.50%*	*8.50%*	*8.25%*	*7.45%*	*6.55%*	*5.05%*	*4.00%*	*3.00%*	*2.00%*
Repair and conversions	28,125.0					26,587.4	27,385.0	28,480.4	29,619.6	31,100.6	32,655.6	34,288.4	36,002.8	37,803.0	39,315.1
Change in %						*3.00%*	*3.00%*	*4.00%*	*4.00%*	*5.00%*	*5.00%*	*5.00%*	*5.00%*	*5.00%*	*4.00%*
Cost of Revenue															
Vessel construction	170,642.0	183,976.0	241,550.0	262,377.0	272,235.0	294,013.8	316,064.8	339,769.7	365,252.4	391,625.6	415,986.9	437,703.6	455,965.7	470,430.0	480,648.8
Change in %		*7.81%*	*31.29%*	*8.62%*	*3.76%*	*8.00%*	*7.50%*	*7.50%*	*7.50%*	*7.22%*	*6.22%*	*5.22%*	*4.17%*	*3.17%*	*2.17%*
Repair and conversions	26,125.0	25,669.0	27,549.0	21,460.0	22,439.0	22,782.7	23,359.4	25,396.5	27,484.2	29,468.7	31,301.8	32,936.0	34,310.1	35,398.5	36,167.5
Change in %		*-1.75%*	*7.32%*	*-22.10%*	*4.56%*	*1.53%*	*2.53%*	*8.72%*	*8.22%*	*7.22%*	*6.22%*	*5.22%*	*4.17%*	*3.17%*	*2.17%*
SG&A	328.0	1,935.0	2,424.0	3,330.0	4,977.0	5,076.5	5,228.8	5,438.0	5,655.5	5,881.7	6,117.0	6,300.5	6,489.5	6,619.3	6,751.7
Change in %		*489.94%*	*25.27%*	*37.38%*	*49.46%*	*2.00%*	*3.00%*	*4.00%*	*4.00%*	*4.00%*	*4.00%*	*3.00%*	*3.00%*	*2.00%*	*2.00%*
Interest expenses	(233.0)	(237.0)	(230.0)	(199.0)	(409.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Change in %		*1.72%*	*-2.95%*	*-13.48%*	*105.53%*	*0.00%*	*0.00%*	*0.00%*	*0.00%*	*0.00%*	*0.00%*	*0.00%*	*0.00%*	*0.00%*	*0.00%*
Other income/(expenses), net	18,099.0	412.0	730.0	6,611.0	2,651.0	2,704.0	2,771.6	2,854.8	2,940.4	3,028.6	3,119.5	3,197.5	3,277.4	3,359.3	3,443.3
Change in %		*-97.72%*	*77.18%*	*805.62%*	*-59.90%*	*2.00%*	*2.50%*	*3.00%*	*3.00%*	*3.00%*	*3.00%*	*2.50%*	*2.50%*	*2.50%*	*2.50%*
Provision/(benefit) for income taxes	(657.0)	(5,858.0)	(9,297.0)	7,379.0	6,483.0	6,363.7	6,224.7	6,411.4	6,603.8	6,801.9	7,005.9	7,216.1	7,396.5	7,544.5	7,695.4
Change in %		*791.63%*	*58.71%*	*-179.37%*	*-12.14%*	*-1.84%*	*-2.18%*	*3.00%*	*3.00%*	*3.00%*	*3.00%*	*3.00%*	*2.50%*	*2.00%*	*2.00%*

1 Assumption: Revenue growth recovers **from 2027 onwards**

Balance Sheet (1/2)

The inhousing backbone of capital expenditures

Balance Sheet															
Current Assets															
Cash and cash equivalents	58,121.0	21,583.0	38,593.0	23,136.0	27,537.0	27,674.7	27,813.1	27,952.1	28,091.9	28,232.3	28,373.5	28,515.4	28,657.9	28,801.2	28,945.2
Change in %		*-62.87%*	*78.81%*	*-40.05%*	*19.02%*	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%
Accounts receivables	14,223.0	4,622.0	19,888.0	33,620.0	20,546.0	22,911.8	25,351.4	27,830.7	30,311.2	32,749.8	34,878.5	36,796.8	38,452.7	39,990.8	41,473.7
Change in %		*-67.50%*	*330.29%*	*69.05%*	*-38.89%*	11.51%	10.65%	9.78%	8.91%	8.05%	6.50%	5.50%	4.50%	4.00%	3.71%
Costs and estimated gross profit in excess	14,330.0	14,396.0	14,589.0	32,293.0	31,919.0	35,594.4	39,384.3	43,236.1	47,089.6	50,878.0	54,529.9	57,971.0	61,126.3	63,923.2	66,293.5
Change in %		*0.46%*	*1.34%*	*121.35%*	*-1.16%*	11.51%	10.65%	9.78%	8.91%	8.05%	7.18%	6.31%	5.44%	4.58%	3.71%
Inventories	2,305.0	30,084.0	2,104.0	2,244.0	7,355.0	8,201.9	9,075.2	9,962.8	10,850.7	11,723.7	12,565.2	13,358.1	14,085.2	14,729.6	15,275.8
Change in %		*1205.16%*	*-93.01%*	*6.65%*	*227.76%*	11.51%	10.65%	9.78%	8.91%	8.05%	7.18%	6.31%	5.44%	4.58%	3.71%
Other receivables	3,793.0	3,875.0	3,121.0	1,086.0	1,084.0	1,165.5	1,242.9	1,314.8	1,379.4	1,435.2	1,480.8	1,525.2	1,570.9	1,618.1	1,666.6
Change in %		*2.16%*	*-19.46%*	*-65.20%*	*-0.18%*	7.51%	6.65%	5.78%	4.91%	4.05%	3.18%	3.00%	3.00%	3.00%	3.00%
Other current assets	3,972.0	9,588.0	18,414.0	13,811.0	8,103.0	8,208.3	8,315.0	8,423.1	8,532.6	8,643.6	8,755.9	8,869.8	8,985.1	9,101.9	9,220.2
Change in %		*141.39%*	*92.05%*	*-25.00%*	*-41.33%*	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%
Noncurrent Assets															
PP&E	49,292.0	45,866.0	42,556.0	41,203.0	41,961.0	42,170.8	42,381.7	42,593.6	42,806.5	43,020.6	43,235.7	43,451.8	43,669.1	43,887.5	44,106.9
Change in %		*-6.95%*	*-7.22%*	*-3.18%*	*1.84%*	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%
Other assets	46.0	1,138.0	945.0	1,070.0	1,265.0	1,281.4	1,298.1	1,315.0	1,332.1	1,349.4	1,366.9	1,384.7	1,402.7	1,420.9	1,439.4
Change in %		*2373.91%*	*-16.96%*	*13.23%*	*18.22%*	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%

Balance Sheet

Debt-free But Billings Volatility And Unrecovered Equity Losses Remain Key Risks

Current Liabilities															
Accounts payable	9,032.0	10,108.0	13,331.0	12,962.0	8,831.0	9,190.1	9,538.5	9,873.9	10,194.0	10,496.3	10,778.7	11,039.1	11,275.4	11,485.7	11,668.3
Change in %		*11.91%*	*31.89%*	*-2.77%*	*-31.87%*	4.07%	3.79%	3.52%	3.24%	2.97%	2.69%	2.42%	2.14%	1.87%	1.59%
Accrued employee costs	1,570.0	1,808.0	2,186.0	4,663.0	6,553.0	6,638.2	6,724.5	6,811.9	6,900.5	6,990.2	7,081.0	7,173.1	7,266.3	7,360.8	7,456.5
Change in %		*15.16%*	*20.91%*	*113.31%*	*40.53%*	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%
Accrued expenses	1,814.0	2,392.0	2,741.0	3,696.0	1,735.0	1,757.6	1,780.4	1,803.5	1,827.0	1,850.7	1,874.8	1,899.2	1,923.9	1,948.9	1,974.2
Change in %		*31.86%*	*14.59%*	*34.84%*	*-53.06%*	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%
Current maturities of long term debt	1,500.0	1,500.0	1,625.0	1,500.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0
Change in %		*0.00%*	*8.33%*	*-7.69%*	*-8.33%*	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Billings in excess of costs	9,211.0	10,858.0	44,955.0	40,853.0	17,521.0	18,233.5	18,924.8	19,590.2	20,225.2	20,825.0	21,385.4	21,902.0	22,370.7	22,788.0	23,150.4
Change in %		*17.88%*	*314.03%*	*-9.12%*	*-57.11%*	4.07%	3.79%	3.52%	3.24%	2.97%	2.69%	2.42%	2.14%	1.87%	1.59%
Noncurrent Liabilities															
Long term debt	5,875.0	4,375.0	2,875.0	1,375.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Change in %		*-25.53%*	*-34.29%*	*-52.17%*	*-100.00%*	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Deffered income taxes	2,454.0	2,031.0	1,627.0	1,283.0	1,569.0	1,589.4	1,610.1	1,631.0	1,652.2	1,673.7	1,695.4	1,717.5	1,739.8	1,762.4	1,785.3
Change in %		*-17.24%*	*-19.89%*	*-21.14%*	*22.29%*	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%	1.30%
Other non current liabilities	0.0	883.0	701.0	736.0	916.0	1,001.1	1,072.1	1,137.5	1,195.4	1,244.5	1,283.4	1,320.9	1,359.7	1,399.8	1,441.2
Change in %			*-20.61%*	*4.99%*	*24.46%*	9.29%	7.10%	6.09%	5.10%	4.11%	3.12%	2.93%	2.94%	2.95%	2.96%
Shareholder's Equity															
Common stock	73.0	73.0	73.0	73.0	73.0	73.4	73.7	74.1	74.5	74.8	75.2	75.6	76.0	76.4	76.7
Change in %		*0.00%*	*0.00%*	*0.00%*	*0.00%*	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%
Additonal paid-in capital	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0	29,249.5	29,395.8	29,542.7	29,690.5	29,838.9	29,988.1	30,138.0	30,288.7	30,440.2	30,592.4
Change in %		*0.00%*	*0.00%*	*0.00%*	*0.00%*	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%
Treasury stock	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(39,086.5)	(39,281.9)	(39,478.3)	(39,675.7)	(39,874.1)	(40,073.4)	(40,273.8)	(40,475.2)	(40,677.6)	(40,880.9)
Change in %		*0.00%*	*0.00%*	*0.00%*	*0.00%*	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%
Retained earnings	124,341.0	106,912.0	79,884.0	91,110.0	110,985.0	111,539.9	112,097.6	112,658.1	113,221.4	113,787.5	114,356.4	114,928.2	115,502.9	116,080.4	116,660.8
Change in %		*-14.02%*	*-25.28%*	*14.05%*	*21.81%*	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%

PP&E & RE Schedules

Long-term reinvestment schedules with backlogged Retained Earnings as a financing safety measure

	Historicals					Forecast									
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
PP&E															
Starting PP&E		49,292.0	45,862.0	42,549.0	41,189.0	41,956.0	43,268.9	45,135.8	47,602.0	50,626.0	54,203.2	58,315.5	63,015.4	68,359.9	74,306.9
D&A		5,738.0	5,076.0	4,050.0	3,781.0	3,886.9	3,991.8	4,095.6	4,193.9	4,290.4	4,384.7	4,476.8	4,566.4	4,657.7	4,750.8
CapEx		(2,308.0)	(1,763.0)	(2,690.0)	(4,548.0)	(5,184.7)	(5,858.7)	(6,561.8)	(7,218.0)	(7,867.6)	(8,497.0)	(9,176.7)	(9,910.9)	(10,604.6)	(11,347.0)
Adjustment for sale of asset						15.0									
Ending PP&E	49,292.0	45,862.0	42,549.0	41,189.0	41,956.0	43,268.9	45,135.8	47,602.0	50,626.0	54,203.2	58,315.5	63,015.4	68,359.9	74,306.9	80,903.0

	Historicals					Forecast									
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Retained Earnings															
Starting RE		124,341.0	106,912.0	79,884.0	91,110.0	110,985.0	126,483.2	137,608.9	152,217.7	170,034.6	189,928.4	212,501.1	235,745.7	259,665.2	284,346.1
Net Income		(17,429.0)	(27,028.0)	11,226.0	19,875.0	15,498.2	11,125.6	14,608.8	17,816.8	19,893.8	22,572.7	23,244.6	23,919.5	24,680.9	25,076.2
Ending RE	124,341.0	106,912.0	79,884.0	91,110.0	110,985.0	126,483.2	137,608.9	152,217.7	170,034.6	189,928.4	212,501.1	235,745.7	259,665.2	284,346.1	309,422.3

NWC Assumptions & Drivers

Working capital scales with future growth

	Historicals					Forecast									
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
NWC															
Starting NWC															
Accounts receivables		14,223.0	4,622.0	19,888.0	33,620.0	20,546.0	22,911.8	25,351.4	27,830.7	30,311.2	32,749.8	34,878.5	36,796.8	38,452.7	39,990.8
Costs and estimated gross profit in excess		14,330.0	14,396.0	14,589.0	32,293.0	31,919.0	35,594.4	39,384.3	43,236.1	47,089.6	50,878.0	54,529.9	57,971.0	61,126.3	63,923.2
Inventories		2,305.0	30,084.0	2,104.0	2,244.0	7,355.0	8,201.9	9,075.2	9,962.8	10,850.7	11,723.7	12,565.2	13,358.1	14,085.2	14,729.6
Other receivables		3,793.0	3,875.0	3,121.0	1,086.0	1,084.0	1,165.5	1,242.9	1,314.8	1,379.4	1,435.2	1,480.8	1,525.2	1,570.9	1,618.1
Accounts payable		(9,032.0)	(10,108.0)	(13,331.0)	(12,962.0)	(8,831.0)	(9,190.1)	(9,538.5)	(9,873.9)	(10,194.0)	(10,496.3)	(10,778.7)	(11,039.1)	(11,275.4)	(11,485.7)
Accrued employee costs		(1,570.0)	(1,808.0)	(2,186.0)	(4,663.0)	(6,553.0)	(6,638.2)	(6,724.5)	(6,811.9)	(6,900.5)	(6,990.2)	(7,081.0)	(7,173.1)	(7,266.3)	(7,360.8)
Accrued expenses		(1,814.0)	(2,392.0)	(2,741.0)	(3,696.0)	(1,735.0)	(1,757.6)	(1,780.4)	(1,803.5)	(1,827.0)	(1,850.7)	(1,874.8)	(1,899.2)	(1,923.9)	(1,948.9)
Billings in excess of costs		(9,211.0)	(10,858.0)	(44,955.0)	(40,853.0)	(17,521.0)	(18,233.5)	(18,924.8)	(19,590.2)	(20,225.2)	(20,825.0)	(21,385.4)	(21,902.0)	(22,370.7)	(22,788.0)
Total		13,024.0	27,811.0	(23,511.0)	7,069.0	26,264.0	32,054.3	38,085.6	44,264.8	50,484.2	56,624.4	62,334.4	67,637.8	72,398.8	76,678.3
Ending NWC															
Accounts receivables	14,223.0	4,622.0	19,888.0	33,620.0	20,546.0	22,911.8	25,351.4	27,830.7	30,311.2	32,749.8	34,878.5	36,796.8	38,452.7	39,990.8	41,473.7
Costs and estimated gross profit in excess	14,330.0	14,396.0	14,589.0	32,293.0	31,919.0	35,594.4	39,384.3	43,236.1	47,089.6	50,878.0	54,529.9	57,971.0	61,126.3	63,923.2	66,293.5
Inventories	2,305.0	30,084.0	2,104.0	2,244.0	7,355.0	8,201.9	9,075.2	9,962.8	10,850.7	11,723.7	12,565.2	13,358.1	14,085.2	14,729.6	15,275.8
Other receivables	3,793.0	3,875.0	3,121.0	1,086.0	1,084.0	1,165.5	1,242.9	1,314.8	1,379.4	1,435.2	1,480.8	1,525.2	1,570.9	1,618.1	1,666.6
Accounts payable	(9,032.0)	(10,108.0)	(13,331.0)	(12,962.0)	(8,831.0)	(9,190.1)	(9,538.5)	(9,873.9)	(10,194.0)	(10,496.3)	(10,778.7)	(11,039.1)	(11,275.4)	(11,485.7)	(11,668.3)
Accrued employee costs	(1,570.0)	(1,808.0)	(2,186.0)	(4,663.0)	(6,553.0)	(6,638.2)	(6,724.5)	(6,811.9)	(6,900.5)	(6,990.2)	(7,081.0)	(7,173.1)	(7,266.3)	(7,360.8)	(7,456.5)
Accrued expenses	(1,814.0)	(2,392.0)	(2,741.0)	(3,696.0)	(1,735.0)	(1,757.6)	(1,780.4)	(1,803.5)	(1,827.0)	(1,850.7)	(1,874.8)	(1,899.2)	(1,923.9)	(1,948.9)	(1,974.2)
Billings in excess of costs	(9,211.0)	(10,858.0)	(44,955.0)	(40,853.0)	(17,521.0)	(18,233.5)	(18,924.8)	(19,590.2)	(20,225.2)	(20,825.0)	(21,385.4)	(21,902.0)	(22,370.7)	(22,788.0)	(23,150.4)
Total	13,024.0	27,811.0	(23,511.0)	7,069.0	26,264.0	32,054.3	38,085.6	44,264.8	50,484.2	56,624.4	62,334.4	67,637.8	72,398.8	76,678.3	80,460.3
Change in NWC		14,787.0	(51,322.0)	30,580.0	19,195.0	5,790.3	6,031.3	6,179.2	6,219.5	6,140.1	5,710.0	5,303.3	4,761.0	4,279.5	3,782.0

Three Statement Model (1/3)

Revenue Growth and Margin Recovery Drive Conrad’s Return to Sustainable Profitability

Income Statement - CNRD															
	Historicals					Forecast									
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Revenue															
Vessel construction	163,091.0	168,757.0	207,139.0	280,231.0	301,735.0	318,330.4	335,838.6	364,384.9	394,446.6	423,832.9	451,594.0	474,391.8	493,367.5	508,168.5	518,331.9
Repair and conversions	28,125.0	25,099.0	32,635.0	23,179.0	25,813.0	26,587.4	27,385.0	28,480.4	29,619.6	31,100.6	32,655.6	34,288.4	36,002.8	37,803.0	39,315.1
Total revenue	191,216.0	193,856.0	239,774.0	303,410.0	327,548.0	344,917.8	363,223.6	392,865.3	424,066.3	454,933.5	484,249.6	508,680.2	529,370.3	545,971.5	557,647.0
Cost of Revenue															
Vessel construction	170,642.0	183,976.0	241,550.0	262,377.0	272,235.0	294,013.8	316,064.8	339,769.7	365,252.4	391,625.6	415,986.9	437,703.6	455,965.7	470,430.0	480,648.8
Repair and conversions	26,125.0	25,669.0	27,549.0	21,460.0	22,439.0	22,782.7	23,359.4	25,396.5	27,484.2	29,468.7	31,301.8	32,936.0	34,310.1	35,398.5	36,167.5
Total cost of revenue	196,767.0	209,645.0	269,099.0	283,837.0	294,674.0	316,796.5	339,424.3	365,166.2	392,736.6	421,094.4	447,288.7	470,639.6	490,275.8	505,828.5	516,816.3
Gross profit/(loss)															
Vessel construction	(7,551.0)	(15,219.0)	(34,411.0)	17,854.0	29,500.0	24,316.6	19,773.8	24,615.2	29,194.2	32,207.3	35,607.1	36,688.2	37,401.8	37,738.6	37,683.1
Repair and conversions	2,000.0	(570.0)	5,086.0	1,719.0	3,374.0	3,804.7	4,025.6	3,083.9	2,135.4	1,631.9	1,353.8	1,352.5	1,692.7	2,404.5	3,147.6
Total gross profit/(loss)	(5,551.0)	(15,789.0)	(29,325.0)	19,573.0	32,874.0	28,121.3	23,799.4	27,699.1	31,329.6	33,839.2	36,960.9	38,040.6	39,094.5	40,143.0	40,830.7
Selling, general and administrative expenses	6,522.0	7,673.0	7,500.0	7,380.0	8,758.0	8,963.4	9,220.6	9,533.6	9,849.4	10,172.1	10,501.7	10,777.3	11,055.9	11,277.0	11,502.5
Pure SG&A	328.0	1,935.0	2,424.0	3,330.0	4,977.0	5,076.5	5,228.8	5,438.0	5,655.5	5,881.7	6,117.0	6,300.5	6,489.5	6,619.3	6,751.7
D&A	6,194.0	5,738.0	5,076.0	4,050.0	3,781.0	3,886.9	3,991.8	4,095.6	4,193.9	4,290.4	4,384.7	4,476.8	4,566.4	4,657.7	4,750.8
Income/(loss) from operations	(12,073.0)	(23,462.0)	(36,825.0)	12,193.0	24,116.0	19,157.9	14,578.7	18,165.5	21,480.2	23,667.1	26,459.1	27,263.3	28,038.7	28,866.0	29,328.2
Interest expenses	(233.0)	(237.0)	(230.0)	(199.0)	(409.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other income/(expenses), net	18,099.0	412.0	730.0	6,611.0	2,651.0	2,704.0	2,771.6	2,854.8	2,940.4	3,028.6	3,119.5	3,197.5	3,277.4	3,359.3	3,443.3
Income/(loss) before income taxes	5,793.0	(23,287.0)	(36,325.0)	18,605.0	26,358.0	21,862.0	17,350.3	21,020.3	24,420.6	26,695.7	29,578.6	30,460.8	31,316.1	32,225.4	32,771.5
Provision/(benefit) for income taxes	(657.0)	(5,858.0)	(9,297.0)	7,379.0	6,483.0	6,363.7	6,224.7	6,411.4	6,603.8	6,801.9	7,005.9	7,216.1	7,396.5	7,544.5	7,695.4
Net Income/(loss)	6,450.0	(17,429.0)	(27,028.0)	11,226.0	19,875.0	15,498.2	11,125.6	14,608.8	17,816.8	19,893.8	22,572.7	23,244.6	23,919.5	24,680.9	25,076.2

Three Statement Model (2/3)

Strong Cash Generation and Retained Earnings Expansion Support Long-Term Balance Sheet Strength

Balance Sheet

	Historicals					Forecast									
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Current Assets															
Cash and cash equivalents	58,121.0	21,583.0	38,593.0	23,136.0	27,537.0	35,920.8	39,116.6	45,041.3	53,567.2	63,686.0	76,367.1	89,536.5	103,278.3	117,660.4	132,285.9
Accounts receivables	14,223.0	4,622.0	19,888.0	33,620.0	20,546.0	22,911.8	25,351.4	27,830.7	30,311.2	32,749.8	34,878.5	36,796.8	38,452.7	39,990.8	41,473.7
Costs and estimated gross profit in excess	14,330.0	14,396.0	14,589.0	32,293.0	31,919.0	35,594.4	39,384.3	43,236.1	47,089.6	50,878.0	54,529.9	57,971.0	61,126.3	63,923.2	66,293.5
Inventories	2,305.0	30,084.0	2,104.0	2,244.0	7,355.0	8,201.9	9,075.2	9,962.8	10,850.7	11,723.7	12,565.2	13,358.1	14,085.2	14,729.6	15,275.8
Other receivables	3,793.0	3,875.0	3,121.0	1,086.0	1,084.0	1,165.5	1,242.9	1,314.8	1,379.4	1,435.2	1,480.8	1,525.2	1,570.9	1,618.1	1,666.6
Other current assets	3,972.0	9,588.0	18,414.0	13,811.0	8,103.0	8,208.3	8,315.0	8,423.1	8,532.6	8,643.6	8,755.9	8,869.8	8,985.1	9,101.9	9,220.2
Total current assets	96,744.0	84,148.0	96,709.0	106,190.0	96,544.0	112,002.8	122,485.4	135,808.9	151,730.7	169,116.2	188,577.4	208,057.3	227,498.5	247,023.9	266,215.8
PP&E	49,292.0	45,866.0	42,556.0	41,203.0	41,961.0	43,268.9	45,135.8	47,602.0	50,626.0	54,203.2	58,315.5	63,015.4	68,359.9	74,306.9	80,903.0
Other assets	46.0	1,138.0	945.0	1,070.0	1,265.0	1,281.4	1,298.1	1,315.0	1,332.1	1,349.4	1,366.9	1,384.7	1,402.7	1,420.9	1,439.4
Total assets	146,082.0	131,152.0	140,210.0	148,463.0	139,770.0	156,553.1	168,919.3	184,725.8	203,688.8	224,668.8	248,259.8	272,457.4	297,261.1	322,751.7	348,558.2
Current Liabilities															
Accounts payable	9,032.0	10,108.0	13,331.0	12,962.0	8,831.0	9,190.1	9,538.5	9,873.9	10,194.0	10,496.3	10,778.7	11,039.1	11,275.4	11,485.7	11,668.3
Accrued employee costs	1,570.0	1,808.0	2,186.0	4,663.0	6,553.0	6,638.2	6,724.5	6,811.9	6,900.5	6,990.2	7,081.0	7,173.1	7,266.3	7,360.8	7,456.5
Accrued expenses	1,814.0	2,392.0	2,741.0	3,696.0	1,735.0	1,757.6	1,780.4	1,803.5	1,827.0	1,850.7	1,874.8	1,899.2	1,923.9	1,948.9	1,974.2
Current maturities of long term debt	1,500.0	1,500.0	1,625.0	1,500.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0	1,375.0
Billings in excess of costs	9,211.0	10,858.0	44,955.0	40,853.0	17,521.0	18,233.5	18,924.8	19,590.2	20,225.2	20,825.0	21,385.4	21,902.0	22,370.7	22,788.0	23,150.4
Total current liabilities	23,127.0	26,666.0	64,838.0	63,674.0	36,015.0	37,194.4	38,343.2	39,454.6	40,521.6	41,537.2	42,495.0	43,388.3	44,211.3	44,958.4	45,624.4
Long term debt	5,875.0	4,375.0	2,875.0	1,375.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Deffered income taxes	2,454.0	2,031.0	1,627.0	1,283.0	1,569.0	1,589.4	1,610.1	1,631.0	1,652.2	1,673.7	1,695.4	1,717.5	1,739.8	1,762.4	1,785.3
Other non current liabilities	0.0	883.0	701.0	736.0	916.0	1,001.1	1,072.1	1,137.5	1,195.4	1,244.5	1,283.4	1,320.9	1,359.7	1,399.8	1,441.2
Total liabilities	31,456.0	33,955.0	70,041.0	67,068.0	38,500.0	39,784.9	41,025.4	42,223.1	43,369.2	44,455.5	45,473.7	46,426.7	47,310.9	48,120.6	48,850.9
Common stock	73.0	73.0	73.0	73.0	73.0	73.0	73.0	73.0	73.0	73.0	73.0	73.0	73.0	73.0	73.0
Additonal paid-in capital	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0	29,104.0
Treasury stock	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)	(38,892.0)
Retained earnings	124,341.0	106,912.0	79,884.0	91,110.0	110,985.0	126,483.2	137,608.9	152,217.7	170,034.6	189,928.4	212,501.1	235,745.7	259,665.2	284,346.1	309,422.3
Total shareholder's equity	114,626.0	97,197.0	70,169.0	81,395.0	101,270.0	116,768.2	127,893.9	142,502.7	160,319.6	180,213.4	202,786.1	226,030.7	249,950.2	274,631.1	299,707.3
Total liabilies and shareholder's equity	146,082.0	131,152.0	140,210.0	148,463.0	139,770.0	156,553.1	168,919.3	184,725.8	203,688.8	224,668.8	248,259.8	272,457.4	297,261.1	322,751.7	348,558.2

Three-Statement Model (3/3)

Improving Operating Cash Flow and Limited Leverage Support Long-Term Liquidity Growth

Cash flow statement - CNRD

	Historicals					Forecast									
	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Cash flows from operating activities															
Net income	6,450.0	(17,429.0)	(27,028.0)	11,226.0	19,875.0	15,498.2	11,125.6	14,608.8	17,816.8	19,893.8	22,572.7	23,244.6	23,919.5	24,680.9	25,076.2
Depreciation and amortization	6,194.0	5,738.0	5,076.0	4,050.0	3,781.0	3,886.9	3,991.8	4,095.6	4,193.9	4,290.4	4,384.7	4,476.8	4,566.4	4,657.7	4,750.8
PPP loan forgiveness	(8,091.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Change in assets and liabilities															
Accounts receivables	360.0	9,601.0	(15,266.0)	(13,732.0)	13,074.0	(2,365.8)	(2,439.5)	(2,479.4)	(2,480.4)	(2,438.6)	(2,128.7)	(1,918.3)	(1,655.9)	(1,538.1)	(1,482.9)
Net change in billings related to cost and gross profit	(2,778.0)	1,581.0	33,904.0	(21,806.0)	(22,958.0)	(2,962.9)	(3,098.6)	(3,186.4)	(3,218.5)	(3,188.6)	(3,091.6)	(2,924.5)	(2,686.5)	(2,379.6)	(2,008.0)
Inventory and other assets	16,920.0	(29,155.0)	28,985.0	1,744.0	(5,231.0)	(846.9)	(873.3)	(887.6)	(887.9)	(873.0)	(841.5)	(792.9)	(727.1)	(644.5)	(546.2)
Accounts payable	895.0	2,774.0	3,769.0	3,097.0	(4,021.0)	359.1	348.4	335.4	320.0	302.3	282.4	260.4	236.3	210.3	182.6
Net CFO	19,950.0	(26,890.0)	29,440.0	(15,421.0)	4,520.0	13,568.5	9,054.5	12,486.6	15,743.8	17,986.4	21,178.1	22,346.1	23,652.7	24,986.7	25,972.5
Cash flows from investing activities															
Capital expenditures for PP&E	(1,962.0)	(2,308.0)	(1,763.0)	(2,690.0)	(4,548.0)	(5,184.7)	(5,858.7)	(6,561.8)	(7,218.0)	(7,867.6)	(8,497.0)	(9,176.7)	(9,910.9)	(10,604.6)	(11,347.0)
Proceeds from sale of assets	700.0	29.0	0.0	1.0	10.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net CFI	(1,262.0)	(2,279.0)	(1,763.0)	(2,689.0)	(4,538.0)	(5,184.7)	(5,858.7)	(6,561.8)	(7,218.0)	(7,867.6)	(8,497.0)	(9,176.7)	(9,910.9)	(10,604.6)	(11,347.0)
Cash flows from financing activities															
Principal repayment of debt	(1,500.0)	(1,500.0)	(1,375.0)	(1,625.0)	(1,500.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Proceeds from issuance of debt	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net CFF	(1,500.0)	(1,500.0)	(1,375.0)	(1,625.0)	(1,500.0)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Change in Cash	17,188.0	(30,669.0)	26,302.0	(19,735.0)	(1,518.0)	8,383.8	3,195.7	5,924.8	8,525.9	10,118.8	12,681.1	13,169.4	13,741.8	14,382.1	14,625.6
Cash balance at beginning		58,121.0	21,583.0	38,593.0	23,136.0	27,537.0	35,920.8	39,116.6	45,041.3	53,567.2	63,686.0	76,367.1	89,536.5	103,278.3	117,660.4
Cash balance at end	58,121.0	21,583.0	38,593.0	23,136.0	27,537.0	35,920.8	39,116.6	45,041.3	53,567.2	63,686.0	76,367.1	89,536.5	103,278.3	117,660.4	132,285.9
Check		*(36,538.0)*	*17,010.0*	*(15,457.0)*	*4,401.0*	*8,383.8*	*3,195.7*	*5,924.8*	*8,525.9*	*10,118.8*	*12,681.1*	*13,169.4*	*13,741.8*	*14,382.1*	*14,625.6*